Indian stock market basic

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INDIAN STOCK MARKET

& MUTUAL FUND BASIC

LEARN INVEST AND EARN

BY

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CHAPTER 1: Investment Basic

This chapter guide you way and when should invest.

What is Investment?

The money you earn is partly spent and the rest saved for meeting future expenses. Instead of keeping the savings idle you may like to use savings in Order to get return on it in the future. This is called Investment.

Why should one invest?

One needs to invest to:

1] Earn return on your idle resource

2]Generate a specified sum of money for a specific goal in life

3]Make a provision for an uncertain future

One of the important reasons why one needs to invest wisely is to meet the cost of Inflation. Inflation is the rate at which the cost of living increases. The cost of living is simply what it costs to buy the goods and services you need live Inflation causes money to lose value because it will not buy the same amount of a good or a service in the future as it does now or did in the past. For example, if there was a 6% inflation rate for the next 20 years, aRs. 100 purchase today would cost Rs. 321 in 20 years. This is why it is important to consider inflation as a factor in any long-term investment strategy. Remember to look at an investment's 'real' rate of return, which is the return after inflation. The aim of investments should be to provide a return above the inflation rate to ensure that the investment does not decrease in value. For example, if the annual inflation rate is 6%, then the investment will need to earn more than 6% to ensure it increases in value.

If the after-tax return on your investment is less than the inflation rate, then your assets have actually decreased in value.

When to start Investing?

The sooner one starts investing the better. By investing early you allow your Investments more time to grow, whereby the concept of compound in we shall increases your income, by accumulating the principal and interest or dividend earned on it, year after year. The three golden rules for all investors are

1] Invest early

2] Invest regular

3] Invest for long term and not short term

What has been the average return on Equities in India?

Since 1990 till date, Indian stock market has returned about 18% to Investors on an average in terms of increase in share prices or capital appreciation annually. Besides that on average stocks have paid 1.5%`dividend annually. Dividend is a percentage of the face value of a share theta company returns to its shareholders from its annual profits. Compared to most other forms of investments investing in equity shares offers the highest rate of return, if invested over a longer duration.

What are various options available for investment?

One may invest in:

§ Physical assets like real estate, gold/jeweler, commodities etc. and/or

§ Financial assets such as fixed deposits with banks, small saving instrument with post offices, insurance/provident/pension fund etc. or securities market related instruments like shares, bonds, debentures etc.

Before investment

A lot of people want to trade in Indian stock market mainly in BSE and NSE. Many of them go without any proper information about trading in stock market of sub-continent. People who are unaware about the basic rules of trading take help from brokers, traders and agents. This makes a great difference about what people expect and what they gain. This is because often these middlemen are opportunists to procure their own profit margin. Thus, often people do not get right ideas in trading.

There are some basic but crucial rules to follow to become a successful trader in Indian stock market. Indian stock market has lots of promising and profitable margins that can transform trading as a fruitful experience. But, to provide an eagle's eye on the basic trading rules and information for trading in Indian economy is must.

It is dangerous to trade in a stock market without knowing its pros and cons. For example, in most of the time it is too risky to invest more than 10% of trading capital in a single trade only. At the same time doing overtrading is not viable in Indian trade market. An individual who is *trading in Indian stock market must aware about his or her loss by using stop loss orders. It is very important to know about those steps when a trade profit can go against any investment.*

The basic step can be started by opening a DEMAT account in a reputed private sector bank or in a top rated government bank. After keeping the minimum bank saving book requirement investment can be done on trading in Indian economy. There is normally no restriction on using a minimum amount. Brokerage charge is 0.30% generally in Indian stock market. The higher level of trading rate will minimize this transaction level.

In Indian stock market it is smart work that not to enter any trade market that is not active or unsure about its own trend. It will be a stupid idea if a profit is left to run in to a loss in an Indian economy. While trading if any doubt occurs then it is wise to get out immediately. Trading in doubt is the same like risking money without any potential gain.

If an individual opens up a bank account in India for trading purpose then the respective bank also offers simple to go with trading ideas and steps right from their own desk. These trading tips can also be acquired from bank's official website. For long-term trading policy in Indian stock Market it is also important to through trading management books on Indian stock market.

It is experts' suggestion to distribute risks or shares equity for various market profits. While trading in Indian market it is important not to limit orders. A separate account is needed for allocation of profit margin after completion of a successful trading. Sometimes it is not profitable to buy a share only looking at its low and high rates.

The marginal utility or the desire level of an individual is always in upwards curve. So, an individual must not get out of trading index only because he is impatient. Stocking in any market is like angling. One must wait for the right opportunity in a calm and quite manner for investing when index is in plus. Very high volume stocks are always perfect to trade from this point of view.

The option to buy directly from Indian Stock Exchange is provided to every Indian citizen. Foreign people living in India can buy through Indian financial institutions. For NRI-Non Residential Indian people, portfolio investment schemes are required to fill up which are shortly known as PINS. People living outside India can trade through their associate bank in India by simply opening an account and filling up PINS. The most simple and easiest way to buy an Indian stock by an American is to buy American Depositary Receipts ADR. At the same time, Indian mutual funds are great options to maximize profit through trading in Indian stock market. When a mutual fund for Indian securities is bought a person can enter to a diversified portfolio of Indian securities. Thus, happy trading in Indian stock market can be occurred with an intelligent

CHAPTER 2: NSE AND BSE

This chapter covers all basic about stock market.

HISTORY OF INDIAN MARKET

People buy goods and services in a place called market. However, when the people need to trade in stocks, shares, debentures etc. there is a specific place where one needs to go. One cannot deal with these items in a normal market place. Thus a place or a platform where the trading of these shares and stocks takes place is known as the STOCK MARKET. The price of these shares and stocks is not considered by monopoly; rather it is the demand and supply forces of the market that determines the prices of these shares and stocks.

In earlier times, the trading, that is, the buying and selling of shares and stocks takes place at a particular place known as stock exchange. Thus, the person needs to go at that particular platform if he or she needs to trade in the shares. However with the advancement of technology, this process has almost become redundant. Now, the trading of shares and stock can take place electronically. There is a tremendous reduction of paperwork as everything has gone online.

Origin of the Indian Stock Market

The Indian stock market is not a new concept. It has a history of about 299 years old. It was in early 18th Century, the Indian Stock Market History main institution that is dealing in the trading of shares and stocks is the East India Company. Later by around 1830's the main dealing in the shares and stocks (mainly in bank and cotton) was initiated in Bombay. However, the items in which the trading took place increased tremendously by the end of 1839. There after the concept of broker business was started which show momentum in the mid 18th century. This concept has attracted nm\ember of people to indulge in the trading of items. By 1860, the number of brokers who are dealing in the trading of items goes up to 60 in number. Further, the number of brokers increased from 60 to 250 in around 1862-1863.

However, around 1980-61 there is no supply of cotton from America as there was civil war that took place in America. Due to this, there is a concept of Share Mania that took place in India.

This is the era of 1980 in which the Indian market had the initial flavor of the trading in items and the concept of Stock market. Thereafter, it has shown significant changes both in the pre-independence era and post independence era.

Pre-Independence Era

The concept of stock market place was not a very systematic system. People who needs to trade generally gathered on the streets which was popularly known as the DALAL STREET and the trading and the transaction used to take place from the Dalal street. It was in year 1875 that the first stock exchange was formulated in the name of "The Native Share and Stock

Brokers Association” which is presently known as the ” Bombay stock exchange”. There after it was in year 1908, that the stock exchange in Calcutta was formulated known as ” The Calcutta Stock Exchange Association”. This wind of stock exchange has also shown its pace in madras in 1920 resulting in the formation of the Madras Stock exchange which was started with around 100 brokers who are trading in the madras Stock exchange. It was in 1934 when the Lahore Stock exchange was established. The Uttar Pradesh stock exchange and the Nagpur stock Exchange was established in year 1940. In year 1944, the Hyderabad stock exchange was established. It was not until 1947 that any stock exchange was established in Delhi. It was in year 1947 that the “Delhi Stock and Share Broker Association Limited” and “The Delhi stocks and Shares exchange Limited” was established in Delhi

.Post-Independence Era

There was shutdown of various stock exchanges in India due to the depression that took place after Independence. It was under the Securities Contracts (Regulations) Act, 1956 that various stock exchanges has got a recognition as a recognized stock exchange such as Bombay, Delhi, Hyderabad, Indore etc. there are several other stock exchanges that were established post independence.

Thus, the market of stock exchange in India is tremendous and is growing with leaps and bounds.

NSE

National Stock Exchange of India

Location of National Stock Exchange in India

Type Stock Exchange

Location Mumbai, Maharashtra, India

Coordinates 19°3'37?N 72°51'35?E

Founded 1992

Owner National Stock Exchange of India Limited

Key people CA. Chita Ramakrishna (MD)

Currency Indian rupee (INR)

Market Cap US$1.178 trillion (Oct 2012)

Indexes S&P CNX Nifty

CNX Nifty Junior

S&P CNX 500

Website www.nseindia.com

NSE building at BKC, Mumbai

The National Stock Exchange (NSE) (Hindi Rashtriya Share Bazaar) is stock exchange located at Mumbai, India. It is the 11th largest stock exchange in the world by market capitalization and largest in India by daily turnover and number of trades, for both equities and derivative trading.NSE has a market capitalization of around US$1 trillion and over 1,652 listings as of July 2012.Though a number of other exchanges exist, NSE and the Bombay Stock Exchange are the two most significant stock exchanges in India, and between them are responsible for the vast majority of share transactions. The NSE's key index is the S&P CNX Nifty, known as the NSE NIFTY (National Stock Exchange Fifty), an index of fifty major stocks weighted by market capitalization .NSE provide platform to trade your share

Here is the list of 50 companies that form part of CNX Nifty Index as on 30 November 2012:

Currently, NSE has the following major segments of the capital market:

Equities

Indices

Mutual Funds

Exchange Traded Funds

Initial Public Offerings

Security Lending and Borrowing Scheme

Derivatives

Equity Derivatives (including Global Indices like S&P 500, Dow Jones and FTSE)

Currency Derivatives

Interest Rate Futures

Debt

Retail Debt Market

Wholesale Debt Market

Corporate Bonds

BSE

BSE, (Bombay Share Bazaar) is a stock exchange located on Dalal Street, Mumbai, Maharashtra, India. It is the 10th largest stock exchange in the world by market capitalization. Established in 1875, BSE Ltd. (formerly *known as Bombay Stock Exchange Ltd.), is Asia's first Stock Exchange and one of India's leading exchange groups. Over the past 137 years, BSE has facilitated the growth of the Indian corporate sector by providing it an efficient capital-raising platform. Popularly known as BSE, the bourse was established as "The Native Share & Stock Brokers' Association" in 1875. The following is the top index that is trade in BSE called SENSEX*

The following are the sensex 30 stock

Bank Nifty

Bank Nifty represents the 12 most liquid and large capitalized stocks from the banking sector which trade on the National Stock Exchange (NSE). It provides investors and market intermediaries a benchmark that captures the capital market performance of Indian banking sector.

Mid cap index

The medium capitalized segment of the stock market is being increasingly perceived as an attractive investment segment with high growth potential. The primary objective of the CNX Midcap Index is to capture the movement and be a benchmark of the midcap segment of the market.

The CNX Midcap Index represents about 13.93% of the free float market capitalization of the stocks listed on NSE as on June 30, 2014.

The total traded value for the last six months ending June 2014, of all index constituents is approximately 22.31% of the traded value

The CNX 200 Index is designed to reflect the behavior and performance of the top 200 companies measured by free float market capitalization. The index comprises of 200 such companies that are listed on the National Stock Exchange (NSE).

The CNX 200 Index is computed using free float market capitalization method with a base date of January 1, 2004 indexed to a base value of 1000, wherein the level of the index reflects the total free float market value of all the companies in the index relative to particular base market capitalization value. The method also takes into account constituent changes in the index and importantly corporate actions such as stock splits, right issue, new issue of shares etc. without affecting the index value.

Market Representation

The CNX 200 Index represents about 87.45% of the free float market capitalization of the stocks listed on NSE as on March 31, 2015.

The total traded value for the last six months ending March 2015, of all index constituents is approximately 81.48% of the traded value of all stocks *on NSE.*

Selection Criteria

The criteria for the CNX 200 Index include the following:

Top 300 companies ranked on average free-float market capitalization and aggregate turnover for the last 6 months form part of the eligible universe for selection of companies in the index.

The company's trading frequency should be at least 90% in the last six months.

The company should have reported positive net worth.

The company should have minimum investable weight factor (IWF) of at least 10%.

The company should have a listing history of 6 months. A company which comes out with an IPO will be eligible for inclusion in the index, if it fulfills the normal eligibility criteria for the index for a period of 3 months instead of a period of 6 months.

Final selection of 200 companies shall be done based on the free-float market capitalization of the companies.

CHAPTER 3: Stock market basic

What is an ‘Equity’/Share?

Total equity capital of a company is divided into equal units of small Denominations, each called a share. For example, in a company the total equity capital of Rs 2,00,00,000 is divided into 20,00,000 units of Rs 10each. Each such unit of Rs 10 is called a Share. Thus, the company then is said to have 20,00,000 equity shares of Rs 10 each. The holders of such shares are members of the company and have voting rights.

Definition of 'Revenue'

The amount of money that a company actually receives during a specific period, including discounts and deductions for returned merchandise. It is the "top line" or "gross income" figure from which costs are subtracted to determine net income.

Revenue is calculated by multiplying the price at which goods or services are sold by the number of units or amount sold.

Revenue is also known as "REVs."

explains 'Revenue'

Revenue is the amount of money that is brought into a company by its business activities. In the case of government, revenue is the money received from taxation, fees, fines, inter-governmental grants or transfers, securities sales, mineral rights and resource rights, as well as any sales that are made.

EBIT

As its name suggests, it is created by considering a company's earnings before interest payments, tax, depreciation, and amortization are subtracted for any final accounting of its income and expenses. The EBITDA of a company gives an indication of the current operational profitability of the business, i.e. how much profit does it make with its present assets and its operations on the products it produces and sells. see the table balance sheet study

Net profit

The net profit is the total profit of the company after all the expenses , tax, depreciation, in a pre define time.

Definition of 'Profit Margin'

A ratio of profitability calculated as net income divided by revenues, or net profits divided by sales. It measures how much out of every dollar of sales a company actually keeps in earnings.

Profit margin is very useful when comparing companies in similar industries. A higher profit margin indicates a more profitable company that has better control over its costs compared to its competitors. Profit margin is displayed as a percentage; a 20\% profit margin, for example, means the company has a net income of 0.20 for each dollar of sales.

Also known as Net Profit Margin. he operating profit margin gives the business owner a lot of important information about the firm's profitability, particularly with regard to cost control. It shows how much cash is thrown off after most of the expenses are met. A high operating profit margin means that the company has good cost control and/or that sales are increasing faster than costs, which is the optimal situation for the company. Operating profit will be a lot lower than the gross profit since selling, administrative, and other expenses are included along with cost of goods sold.

As the company grows and sales revenue grows, overhead, or fixed costs, should become a smaller and smaller percentage of total costs and the operating profit margin should increase. A high operating profit margin usually means that the business firm has a low-cost operating mode

Calculating EPS

The EPS formula does include preferred for categories outside of continued operations and net income. Earnings per share for continuing operations and net income are more complicated in that any preferred dividends are removed from net income before calculating EPS. This is because preferred stock rights have precedence over common stock. If preferred dividends total 100,000, then that is money not available to distribute to each share of common stock.

Earnings Per Share (Basic Formula)

Earnings Per Share=Profit/Weighted Average Common Shares

Earnings Per Share (Net Income Formula)

Definition of 'Price-Earnings Ratio - P/E Ratio'

A valuation ratio of a company's current share price compared to its per-share earnings.

Calculated as:

Market Value per Share /

Earnings per Share (EPS)

For example, if a company is currently trading at 50 rs a share and earnings over the last 12 months were 2 per share, the P/E ratio for the stock would be 25 (50/2).

EPS is usually from the last four quarters (trailing P/E), but sometimes it can be taken from the estimates of earnings expected in the next four quarters (projected or forward P/E). A third variation uses the sum of the last two actual quarters and the estimates of the next two quarters.

Also sometimes known as "price multiple" or "earnings multiple."

Explains 'Price-Earnings Ratio - P/E Ratio'

In general, a high P/E suggests that investors are expecting higher earnings growth in the future compared to companies with a lower P/E. However, the P/E ratio doesn't tell us the whole story by itself. It's usually more useful to compare the P/E ratios of one company to other companies in the same industry, to the market in general or against the company's own historical P/E. It would not be useful for investors using the P/E ratio as a basis for their investment to compare the P/E of a technology company (high P/E) to *a utility company (low P/E) as each industry has much different growth prospects.*

The P/E is sometimes referred to as the "multiple", because it shows how much investors are willing to pay per rupee of earnings. If a company were currently trading at a multiple (P/E) of 20, the interpretation is that an investor is willing to pay 20 for1 of current earnings.

It is important that investors note an important problem that arises with the P/E measure, and to avoid basing a decision on this measure alone. The denominator (earnings) is based on an accounting measure of earnings that is susceptible to forms of manipulation, making the quality of the P/E only as good as the quality of the underlying earnings number.

Things to Remember

Generally a high P/E ratio means that investors are anticipating higher growth in the future.

The average market P/E ratio is 20-25 times earnings.

The p/e ratio can use estimated earnings to get the forward looking P/E ratio.

Companies that are losing money do not have a P/E ratio.

What is meant by Face Value of a share/debenture?

The nominal or stated amount (in Rs.) assigned to a security by the issuer.

For shares, it is the original cost of the stock shown on the certificate; for bonds, it is the amount paid to the holder at maturity. Also known as par value or simply par. For an equity share, the face value is usually a very small amount (Rs. 5, Rs. 10) and does not have much bearing on the price of the share, which may quote higher in the market, at Rs. 100 or Rs. 1000 or any other price. For a debt security, face value is the amount repaid to the investor when the bond matures (usually, Government securities and corporate bonds have a face value of Rs. 100). The price at which the security trades depends on the fluctuations in the interest rates in the economy.

Cash balance of an company

See the cash balance of that company .Company of good cash can give good dividend to the stock holder .Good cash help the company to execute the project faster ,good cash help to make over other company so the company can generate more cash and working capital is not a problem

Debit balance of an company

If the company has lot of debit then there profit margin remain in pressure as good amount of their profit goes in form of interest .The company and there project will not complete at time and therefore the cost of their project goes up . Debit make pressure on their EBIT and net profit as the EPS will not rise .High debit company cannot pay the dividend

Index: An index is a benchmark which is used as a reference marker for traders and portfolio managers. A 10% may sound good, but if the market index returned 12%, then you didn't do very well since you could have just invested in an index fund and saved time by not trading frequently. Examples are the Dow Jones Industrial Average and Stand Volatility: This refers to the price movements of a stock or the stock market as a whole. Highly volatile stocks are ones with extreme daily up and down movements and wide intraday trading ranges. This is often common with stocks that are thinly traded, or have low trading volumes. This is also common with the stocks that Tim trades.ard & Poor's 500.

Stoploss is a buy or sell order which gets triggered automatically, once the stock reaches a certain price. The aim here is to limit the loss on a security (buy or sell) position.

A stop order to sell becomes a market order when the item is offered at or below the specified price. E.g.: If you have bought 1 share of RIL at Rs. 1,050, you will enter stoploss order at a price below Rs. 1,050, say Rs. 1,020. If RIL share price falls to Rs. 1,020, a sell stoploss order will get triggered, which limits your loss on account of purchase to Rs. 30.

Similarly, a stop order to buy becomes a market order when the item is bid at or above the specified price. E.g.: If you have short-sold 1 share of RIL at Rs. 1,050, you will enter stoploss order at a price above Rs. 1,050, say Rs. 1,070. If RIL share price rises to Rs. 1,070, a buy stoploss order will get triggered, which will limit your loss on account of sale to Rs. 20.

Issue of Shares

Why do companies need to issue shares to the public?

Most companies are usually started privately by their promoter(s). However, the promoters' capital and the borrowings from banks and financial Institutions may not be sufficient for setting up or running the business over a long term. So companies invite the public to contribute towards the equity and issue shares to individual investors. The way to invite share capital from the public is through a 'Public Issue'. Simply stated, a public issue is an offer to the public to subscribe to the share capital of a company. Once this is

Done, the company allots shares to the applicants as per the prescribed

rules and regulations laid down by SEBI.

What are the different kinds of issues?

Primarily, issues can be classified as a Public, Rights or Preferential issues(Also known as private placements). While public and rights issues involve a Detailed procedure, private placements or preferential issues are relatively simpler. The classification of issues is illustrated below:

Initial Public Offering (IPO): Is when an unlisted company makes either a Fresh issue of securities or an offer for sale of its existing securities or both for the first time to the public. This paves way for listing and trading of th Issuer's securities.

A follow on public offering (Further Issue):Is when an already listed Company makes either a fresh issue of securities to the public or an offer for sale to the public, through an offer document.

Rights Issue: Is when a listed company which proposes to issue fresh Securities to its existing shareholders as on a record date. The rights are Normally offered in a particular ratio to the number of securities held prior to the issue. This route is best suited for companies who would like to raise capital without diluting stake of its existing shareholders.

A Preferential follow on public offering (Further Issue): Is when an already listed company makes either a fresh issue of securities to the public or an offer for sale to the public, through an offer document.

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A Preferential issue is an issue of shares or of convertible securities by Listed companies to a select group of persons under Section 81 of the Company’s s Act, 1956 which is neither a rights issue nor a public issue.

Initial Public Offering (IPO): A company's first issue of shares to general public. IPOs are issued by smaller, younger companies seeking funds for expansion and growth, but large companies also practice this to become publicly traded companies.

Market Capitalization: The total value in INR of all of a company's outstanding shares. It is calculated by multiplying all the outstanding shares with the current market price of one share. It determines the company's size in terms of its wealth.

What Causes Stock Prices To Change?

What Causes Stock Prices To Change? stock prices change every day as a result of market forces. By this we mean that share prices change because of supply and demand. If more people want to buy a stock (demand) than sell it (supply), then the price moves up. Conversely, if more people wanted to sell stock than buy it, there would be great supply than demand, and the price would fall.

Understanding supply and demand is easy. What is difficult to comprehend is what makes people like a particular stock and dislike another stock. This comes down to figuring out what news is positive for a company and what news is negative. There are many answers to this problem and just about any investor you ask has their own ideas and strategies.

That being said, the principal theory is that the price movement of a stock indicates what investors feel a company is worth. Don't equate a company's value with the stock price. The value of a company is its market capitalization, which is the stock price multiplied by the number of shares outstanding. For example, a company that trades at $100 per share and has 1 million shares outstanding has a lesser value than a company that trades at $50 that has 5 million shares Of course; it's not just earnings that can change the sentiment towards a stock (which, in turn, changes its price). It would be a rather simple world if this were the case! During the dotcom bubble, for example, dozens of internet companies rose to have market capitalizations in the billions of dollars without ever making even the smallest profit. As we all know, these valuations did not hold, and most internet companies saw their values shrink to a fraction of their highs. Still, the fact that prices did move that much demonstrates that there are factors other than current earnings that influence stocks. Investors have developed literally hundreds of these variables, ratios and indicators. Some you may have already heard of, such as the price/earnings ratio, while others are extremely complicated and obscure with names like Chalking oscillator or moving average convergence divergence.

So, why do stock prices change? The best answer is that nobody really knows for sure. Some believe that it isn't possible to predict how stock prices will change, while others think that by drawing charts and looking at past price movements, you can determine when to buy and sell. The only thing we do know is that stocks are volatile and can change in price extremely rapidly.

The important things to grasp about this subject are the following:

1. At the most fundamental level, supply and demand in the market determines stock price.

2. Price times the number of shares outstanding (market capitalization) is the value of a company. Comparing just the share price of two companies is meaningless.

3. Theoretically, earnings are what affect investors' valuation of a company, but there are other indicators that investors use to predict stock price. Remember, it is investors' sentiments, attitudes and expectations that ultimately affect stock prices.

4. There are many theories that try to explain the way stock prices move the way they do. Unfortunately, there is no one theory that can explain everything. Outstanding T o further complicate things, the price of a stock *doesn't only reflect a company's current value, it also reflects the growth that investors expect in the future.*

The most important factor that affects the value of a company is its earnings. Earnings are the profit a company makes, and in the long run no company can survive without them. It makes sense when you think about it. If a company never makes money, it isn't going to stay in business. Public companies are required to report their earnings four times a year (once each quarter). Wall Street watches with rabid attention at these times, which are referred to as earnings seasons. The reason behind this is that analysts base their future value of a company on their earnings projection. If a company's results surprise (are better than expected), the price jumps up. If a company's results disappoint (are worse than expected), then the price will fall.

The Bulls, The Bears And The Farm

On Wall Street, the bulls and bears are in a constant struggle. If you haven't heard of these terms already, you undoubtedly will as you begin to invest.

The Bulls

A bull market is when everything in the economy is great, people are finding jobs, gross domestic product (GDP) is growing, and stocks are rising. Things are just plain rosy! Picking stocks during a bull market is easier because everything is going up. Bull markets cannot last forever though, *and sometimes they can lead to dangerous situations if stocks become overvalued. If a person is optimistic and believes that stock will go up, he or she is called a "bull" and is said to have a "bullish outlook".*

The Bears

A bear market is when the economy is bad, recession is looming and stock prices are falling. Bear markets make it tough for investors to pick profitable stocks. One solution to this is to make money when stocks are falling using a technique called short selling. Another strategy is to wait on the sidelines until you feel that the bear market is nearing its end, only starting to buy in anticipation of a bull market. If a person is pessimistic, believing that stocks are going to drop, he or she is called a "bear" and said to have a "bearish outlook".

DEFINITION of 'Bull Market'

A financial market of a group of securities in which prices are rising or are expected to rise. The term "bull market" is most often used to refer to the stock market, but can be applied to anything that is traded, such as bonds, currencies and commodities.

'Bull Market'

Bull markets are characterized by optimism, investor confidence and expectations that strong results will continue. It's difficult to predict *consistently when the trends in the market will change. Part of the difficulty is that psychological effects and speculation may sometimes play a large role in the markets.*

The use of "bull" and "bear" to describe markets comes from the way the animals attack their opponents. A bull thrusts its horns up into the air while a bear swipes its paws down. These actions are metaphors for the movement of a market. If the trend is up, it's a bull market. If the trend is down, it's a bear market.

Learn how you can profit in a bull market by reading Banking Profits in Bull and Bear Markets and also How to Adjust Your Portfolio in a Bull or Bear Market.

Bear Market

DEFINITION of 'Bear Market'

A market condition in which the prices of securities are falling, and widespread pessimism causes the negative sentiment to be self-sustaining. As investors anticipate losses in a bear market and selling continues, pessimism only grows. Although figures can vary, for many, a downturn of 20\% or more in multiple broad market indexes, such as the Dow Jones Industrial Average (DJIA) or Standard & Poor's 500 Index (S&P 500), over at least a two-month period, is considered an entry into a bear market.

'Bear Market'

A bear market should not be confused with a correction, which is a short-term trend that has a duration of less than two months. While corrections are often a great place for a value investor to find an entry point, bear markets rarely provide great entry points, as timing the bottom is very difficult to do. Fighting back can be extremely dangerous because it is quite difficult for an investor to make stellar gains during a bear market unless he or she is a short seller.

IIP data

Index of Industrial Production (IIP) in simplest terms is an index which details out the growth of various sectors in an economy. E.g. Indian IIP will focus on sectors like mining, electricity and Manufacturing. Also base year needs to be decided on the basis of which all the index figures would be arrived at. In case of India the base year was first fixed at 1993-94 hence the same would be equivalent to 100 Points but now the base year is changed to 2004-2005.

Index of Industrial Production (IIP) is an abstract number, the magnitude of which represents the status of production in the industrial sector for a given period of time as compared to a reference period of time.

The all India IIP is a composite indicator that measures the short-term changes in the volume of production of a basket of industrial products during a given period with respect to that in a chosen base period. It is compiled and published monthly by the Central Statistics Office (CSO) with the time lag of six weeks from the reference month.

Definition of 'Foreign Institutional Investor - FII'

An investor or investment fund that is from or registered in a country outside of the one in which it is currently investing. Institutional investors include hedge funds, insurance companies, pension funds and mutual funds.

The term is used most commonly in India to refer to outside companies investing in the financial markets of India. International institutional investors must register with the Securities and Exchange Board of India to participate in the market. One of the major market regulations pertaining to FIIs involves placing limits on FII ownership in Indian companies.

Definition of 'Stop-Loss Order'

An order placed with a broker to sell a security when it reaches a certain price. A stop-loss order is designed to limit an investor's loss on a security position.

Also known as a "stop order" or "stop-market order".

Setting a stop-loss order for 10% below the price you paid for the stock will limit your loss to 10%. This strategy allows investors to determine their loss limit in advance, preventing emotional decision-making.

It's also a great idea to use a stop order before you leave for holidays or enter a situation in which you will be unable to watch your stocks for an extended period of time.

Important Ratios

Leverage/Capital structure Ratios:

Long term financial strength or soundness of a firm is measured in terms Of its ability to pay interest regularly or repay principal on due dates or at the time of maturity. Such long term solvency of a firm can be judged by using leverage or capital structure ratios. Broadly there are two sets of ratios:

First, the ratios based on the relationship between borrowed funds and owner's capital which are computed from the balance sheet. Some such ratios are: Debt to Equity and Debt to Asset ratios. The second set of ratios which are calculated from Profit and Loss Account are: The interest coverage ratio and debt service coverage ratio are coverage ratio to leverage risk.

(i) Debt-Equity ratio reflects relative contributions of creditors and owners to

Finance the business.

Debt-Equity ratio =

Total Equity/

Total Debt

The desirable/ideal proportion of the two components (high or low ratio) varies from industry to industry.

(ii) Debt-Asset Ratio: Total debt comprises of long term debt plus current

liabilities. The total assets comprise of permanent capital plus current

liabilities

Debt-Asset Ratio =

Total Assets/

Total Debt

The second set or the coverage ratios measure the relationship between Proceeds from the operations of the firm and the claims of outsiders.

The second set or the coverage ratios measure the relationship between Proceeds from the operations of the firm and the claims of outsiders.

(iii) Interest Coverage ratio =

Interest

Earnings Before Interest and Taxes/ interest

Higher the interest coverage ratio better is the firm’s ability to meet its

Interest burden. The lenders use this ratio to assess debt servicing capacity

of a firm.

(III) Profitability ratios:

Profitability and operating/management efficiency of a firm is judged mainly

by the following profitability ratios:

(i) Gross Profit Ratio (%) =

Net Sales/

Gross Profit

** 100*

(ii) Net Profit Ratio (%) =

Net Sales/

Net Profit

** 100*

Some of the profitability ratios related to investments are:

(iii) Return on Total Assets =

Fixed Assets Current Assets/

Profit Before Interest And Tax

(iv) Return on Capital Employed =

Total Capital Employed

Net Profit After Tax

(v) Return on Shareholders' Equity

=net profit after tax/

Average Total Shareholders Equity or Net Worth

A common (equity) shareholder has only a residual claim on profits and

Assets of a firm, i.e., only after claims of creditors and preference

Shareholders are fully met, the equity shareholders receive a distribution of profits or assets on liquidation. A measure of his well being is reflected by return on equity. There are several other measures to calculate return on Shareholders' equity of which the following are the stock market related

DEFINITION of 'Bull Market'

A financial market of a group of securities in which prices are rising or are expected to rise. The term "bull market" is most often used to refer to the stock market, but can be applied to anything that is traded, such as bonds, currencies and commodities.

EXPLAINS 'Bull Market'

Bull markets are characterized by optimism, investor confidence and expectations that strong results will continue. It's difficult to predict consistently when the trends in the market will change. Part of the difficulty is that psychological effects and speculation may sometimes play a large role in the markets.

The use of "bull" and "bear" to describe markets comes from the way the animals attack their opponents. A bull thrusts its horns up into the air while a bear swipes its paws down. These actions are metaphors for the movement of a market. If the trend is up, it's a bull market. If the trend is down, it's a bear market.

Learn how you can profit in a bull market by reading Banking Profits in Bull and Bear Markets and also How to Adjust Your Portfolio in a Bull or Bear Market.

Bear Market

DEFINITION of 'Bear Market'

A market condition in which the prices of securities are falling, and widespread pessimism causes the negative sentiment to be self-sustaining. As investors anticipate losses in a bear market and selling continues, pessimism only grows. Although figures can vary, for many, a downturn of 20\% or more in multiple broad market indexes, such as the Dow Jones Industrial Average (DJIA) or Standard & Poor's 500 Index (S&P 500), over at least a two-month period, is considered an entry into a bear market.

EXPLAINS 'Bear Market'

A bear market should not be confused with a correction, which is a short-term trend that has a duration of less than two months. While corrections are often a great place for a value investor to find an entry point, bear markets rarely provide great entry points, as timing the bottom is very difficult to do. Fighting back can be extremely dangerous because it is quite difficult for an investor to make stellar gains during a bear market unless he or she is a short seller.

CHAPTER 4: Indian economy and market

This chapter is important as the base of any market is the economy of that nation .If the economy of that nation is good the market also will in good shape . Economy health of that nation reflect in there market.

Indian economy

The economy of India is the tenth-largest in the world by nominal GDP and the third-largest by purchasing power parity (PPP) .The country is one of the G-20 major economies and a member of BRICS. On a per-capita-income basis, India ranked 141st by nominal GDP and 130th by GDP (PPP) in 2012, according to the IMF .India is the 19th-largest exporter and the 10th-largest importer in the world. Economic growth rate slowed to around 5.0% for the 2012–13 fiscal year compared with 6.2% in the previous fiscal. It is to be noted that India's GDP grew by an astounding 9.3% in 2010–11. Thus, the growth rate has nearly halved in just three years. GDP growth went up marginally to 4.8% during the quarter through March 2013, from about 4.7% in the previous quarter. The government has forecasted a growth of 6.1%-6.7% for the year 2013-14, whilst the RBI expects the same to be at 5.7%.Growth significantly slowed to 6.8% in 2008–09, but subsequently recovered to 7.4% in 2009–10, while the fiscal deficit rose from 5.9% to a high 6.5% during the same period .India's current account deficit surged to 4.1% of GDP during Q2 FY11 against 3.2% the previous quarter. The unemployment rate for 2010–11, according to the state Labor Bureau, was 9.8% nationwide. As of 2011, India's public debt stood at 68.05% of GDP which is highest among the emerging economies. However, inflation remains stubbornly high with 7.55% in

August 2012, the highest ammo trade (counting exports and imports) stands at $606.7 billion and is currently the 9th largest in the world. During 2011–12, India's foreign trade grew by an impressive 30.6% to reach $792.3 billion (Exports-38.33% & Imports-61.67%).

Services

Further information: Information technology in India and Business process outsourcing in India

India is 13th in services output. The services sector provides employment to 23% of the work force and is growing quickly, with a growth rate of 7.5% in 1991–2000, up from 4.5% in 1951–80. It has the largest share in the GDP, accounting for 55% in 2007, up from 15% in 1950.Information technology and business process outsourcing are among the fastest growing sectors, having a cumulative growth rate of revenue 33.6% between 1997 and 1998 and 2002–03 and contributing to 25% of the country's total exports in 2007–08. The growth in the IT sector is attributed to increased specialization, and an availability of a large pool of low cost, highly skilled, educated and fluent English-speaking workers, on the supply side, matched on the demand side by increased demand from foreign consumers interested in India's service exports, or those looking to outsource their operations. The share of the Indian IT industry in the country's GDP increased from 4.8% in 2005–06 to 7% in 2008.In 2009, seven Indian firms were listed among the top 15 technology outsourcing companies in the world.

Agriculture in India, Forestry in India, Animal husbandry in India, and Fishing in India

India ranks second worldwide in farm output. Agriculture and allied sectors like forestry, logging and fishing accounted for 15.7% of the GDP in 2009–10, employed 52.1% of the total workforce, and despite a steady decline of its share in the GDP, is still the largest economic sector and a significant piece of the overall socio-economic development of India .Crop yield per unit area of all crops have grown since 1950, due to the special emphasis placed on agriculture in the five-year plans and steady improvements in irrigation, technology, application of modern agricultural practices and provision of agricultural credit and subsidies since the Green Revolution in India. However, international comparisons reveal the average yield in India is generally 30% to 50% of the highest average yield in the world. Indian states Uttar Pradesh, Punjab, Haryana, Madhya Pradesh, Andhra Pradesh, Bihar, West Bengal, Gujarat and Maharashtra are key agricultural contributing states of India.

India receives an average annual rainfall of 1,208 millimeters (47.6 in) and a total annual precipitation of 4000 billion cubic meters , with the total utilizable water resources, including surface and groundwater, amounting to 1123 billion cubic meters. 546,820 square kilometers (211,130 sq mi) of the land area, or about 39% of the total cultivated area, is irrigated. India's inland water resources including rivers, canals, ponds and lakes and marine resources comprising the east and west coasts of the Indian ocean and other gulfs and bays provide employment to nearly six million people in the fisheries sector. In 2008, India had the world's third largest fishing industry.

India is the largest producer in the world of milk, jute and pulses, and also has the world's second largest cattle population with 175 million animals in 2008.It is the second largest producer of rice, wheat, sugarcane, cotton and *groundnuts, as well as the second largest fruit and vegetable producer, accounting for 10.9% and 8.6% of the world fruit and vegetable production respectively .India is also the second largest producer and the largest consumer of silk in the world, producing 77,000 million tons in 2005.the Indian money market is classified into the organized sector, comprising private, public and foreign owned commercial banks and cooperative banks, together known as scheduled banks, and the unorganized sector, which includes individual or family owned indigenous bankers or money lenders and non-banking financial companies .The unorganized sector and microcredit are still preferred over traditional banks in rural and sub-urban areas, especially for non-productive purposes, like ceremonies and short duration loans.*

Prime Minister Indira Gandhi nationalized 14 banks in 1969, followed by six others in 1980, and made it mandatory for banks to provide 40% of their net credit to priority sectors like agriculture, small-scale industry, retail trade, small businesses, etc. to ensure that the banks fulfill their social and developmental goals. Since then, the number of bank branches has increased from 8,260 in 1969 to 72,170 in 2007 and the population covered by a branch decreased from 63,800 to 15,000 during the same period. The total bank deposits increased from INR59.1 billion (US$1.1 billion) in 1970–71 to INR38309.22 billion (US$700 billion) in 2008–09. Despite an increase of rural branches, from 1,860 or 22% of the total number of branches in 1969 to 30,590 or 42% in 2007, only 32,270 out of 500,000 villages are covered by a scheduled bank.

India's gross domestic saving in 2006–07 as a percentage of GDP stood at a high 32.7%.More than half of personal savings are invested in physical assets such as land, houses, cattle, and gold. The public sector banks hold over 75% of total assets of the banking industry, with the private and foreign banks holding 18.2% and 6.5% respectively. Since liberalization, the government has approved significant banking reforms. While some of these relate to nationalized banks, like encouraging mergers, reducing government interference and increasing profitability and competitiveness, *other reforms have opened up the banking and insurance sectors to private and foreign players.*

Energy and power

Energy policy of India

As of 2012, India imported about 70% of its crude oil requirements. Shown here is an ONGC platform at Mumbai High in the Arabian Sea, one of the few sites of domestic production.

As of 2012, India is the fourth largest producer of electricity and oil products and the fourth largest importer of coal and crude-oil in the world .Coal and oil together account for 66% of the energy consumption of India.

India's oil reserves meet 25% of the country's domestic oil demand. As of 2012, India's total proven oil reserves stood at 775 million metric tons while gas reserves stood at 1074 billion cubic meters. Oil and natural gas fields are located offshore at Mumbai High, Krishna Godavari Basin and the Cauvery Delta, and onshore mainly in the states of Assam, Gujarat and Rajasthan .India is the fourth largest consumer of oil in the world and imported $82.1 billion worth of oil in the first three quarters of 2010, which had an adverse effect on its current account deficit .The petroleum industry in India mostly consists of public sector companies such as Oil and Natural Gas Corporation (ONGC), Hindustan Petroleum Corporation Limited (HPCL) and Indian Oil Corporation Limited (IOCL). There are some major private Indian companies in the oil sector such as Reliance Industries Limited (RIL) which operates the world's largest oil refining complex.

As of December 2011, India had an installed power generation capacity of 185.5 Giga Watts (GW), of which thermal power contributed 65.87%, hydroelectricity 20.75%, other sources of renewable energy 10.80%, and nuclear power 2.56%. India meets most of its domestic energy demand through its 106 billion tons of coal reserves .India is also rich in certain alternative sources of energy with significant future potential such as solar, wind and bio fuels (, sugarcane). India's huge thorium reserves – about 25% of world's reserves – are expected to fuel the country's ambitious nuclear energy program in the long-run. India's dwindling uranium reserves stagnated the growth of nuclear energy in the country for many years However , the Indo-US nuclear deal has paved the way for India to import uranium from other countries.

Fields are located offshore at Mumbai High , Krishna Godavari Basin and the Cauvery Delta, and onshore mainly in the states of Assam, Gujarat and Rajasthan. India is the fourth largest consumer of oil in the world and imported $82.1 billion worth of oil in the first three quarters of 2010, which had an adverse effect on its current account deficit. The petroleum industry in India mostly consists of public sector companies such as Oil and Natural Gas Corporation (ONGC), Hindustan Petroleum Corporation Limited (HPCL) and Indian Oil Corporation Limited (IOCL). There are some major private Indian companies in the oil sector such as Reliance Industries Limited (RIL) which operates the world's largest oil refining complex.

Foreign direct investment

See also foreign direct investment, India section. Share of top five investing countries in FDI inflows. (2000–2010) Rank

As the third-largest economy in the world in PPP terms, India is a preferred destination for FDI. During the year 2011, FDI inflow into India stood at $36.5 billion, 51.1% higher than 2010 figure of $24.15 billion. India has strengths in telecommunication, information technology and other significant areas such as auto components, chemicals, apparels, pharmaceuticals, and jewelers. Despite a surge in foreign investments, rigid FDI policies were a significant hindrance. However, due to positive economic reforms aimed at deregulating the economy and stimulating foreign investment, India has positioned itself as one of the front-runners of the rapidly growing Asia-Pacific region .India has a large pool of skilled managerial and technical expertise. The size of the middle-class population stands at 300 million and represents a growing consumer market.

During 2000–10, the country attracted $178 billion as FDI. The inordinately high investment from Mauritius is due to routing of international funds through the country given significant tax advantages; double taxation is avoided due to a tax treaty between India and Mauritius, and Mauritius is a capital gains tax haven, effectively creating a zero-taxation FDI channel.

India's recently liberalized FDI policy (2005) allows up to a 100% FDI stake in ventures. Industrial policy reforms have substantially reduced industrial licensing requirements, removed restrictions on expansion and facilitated easy access to foreign technology and foreign direct investment FDI. The upward moving growth curve of the real-estate sector owes some credit to a booming economy and liberalized FDI regime. In March 2005, the government amended the rules to allow 100% FDI in the construction sector, including built-up infrastructure and construction development projects comprising housing, commercial premises, hospitals, educational *institutions, recreational facilities, and city- and regional-level infrastructure. Despite a number of changes in the FDI policy to remove caps in most sectors, there still remains an unfinished agenda of permitting greater FDI in politically sensitive areas such as insurance and retailing. The total FDI equity inflow into India in 2008–09 stood at INR1229.19 billion (US$22 billion), a growth of 25% in rupee terms over the previous period.. India's trade and business sector has grown fast. India currently accounts for 1.5% of world trade as of 2007 according to the World Trade Statistics of the WTO in 2006.*

Currency .The petroleum industry in India mostly consists of public sector companies such as Oil and Natural Gas Corporation (ONGC), Hindustan Petroleum Corporation Limited (HPCL) and Indian Oil Corporation Limited (IOCL). There are some major private Indian companies in the oil sector such as Reliance Industries Limited (RIL) which operates the world's largest oil refining complex.

Type of deficit

Deficit

For example, if a nation has exports of $2 billion and imports of $3 billion in a given year, it would have a trade deficit of $1 billion for that year. Similarly, a government that has revenues of $10 billion and expenditures of $12 billion in a particular year would have a budget deficit of $2 billion in that period.

Large and growing deficits over prolonged periods of time are unsustainable in most cases, irrespective of whether they are incurred by an individual, corporation or government. Huge deficits over a number of years can wipe out equity for an individual or a company's shareholders, eventually leaving bankruptcy as the only option. Although sovereign governments have a much greater capacity to sustain deficits, negative effects in such cases include lower economic growth rates (in case of budget deficits) or a plunge in the value of the domestic currency

Definition of 'Trade Deficit'

An economic measure of a negative balance of trade in which a country's imports exceeds its exports. A trade deficit represents an outflow of domestic currency to foreign markets.

Trade Deficit

Economic theory dictates that a trade deficit is not necessarily a bad situation because it often corrects itself over time. However, a deficit has been reported and growing in the United States for the past few decades, which has some economists worried. This means that large amounts of the U.S. dollar are being held by foreign nations, which may decide to sell at any time. A large increase in dollar sales can drive the value of the currency down, making it more costly to purchase imports.

2) Definition of 'Current Account Deficit'

Occurs when a country's total imports of goods, services and transfers is greater than the country's total export of goods, services and transfers. This situation makes a country a net debtor to the rest of the world.

Current Account Deficit'

A substantial current account deficit is not necessarily a bad thing for certain countries. Developing counties may run a current account deficit in the short term to increase local productivity and exports in the future.

Gross domestic production

Definition of 'Gross Domestic Product - GDP'

The monetary value of all the finished goods and services produced within a country's borders in a specific time period, though GDP is usually calculated on an annual basis. It includes all of private and public consumption, government outlays, investments and exports less imports that occur within a defined territory.

GDP = C + G + I + NX

where:

"C" is equal to all private consumption, or consumer spending, in a nation's economy

"G" is the sum of government spending

"I" is the sum of all the country's businesses spending on capital

"NX" is the nation's total net exports, calculated as total exports minus total imports. (NX = Exports - Imports)

Gross Domestic Product - GDP

GDP is commonly used as an indicator of the economic health of a country, as well as to gauge a country's standard of living. Critics of using GDP as an economic measure say the statistic does not take into account the underground economy - transactions that, for whatever reason, are not reported to the government. Others say that GDP is not intended to gauge material well-being, but serves as a measure of a nation's productivity, which is unrelated.

Definition of 'Purchasing Power Parity - PPP' An economic theory that estimates the amount of adjustment needed on the exchange rate between *countries in order for the exchange to be equivalent to each currency's purchasing power.*

The relative version of PPP is calculated as:

Purchasing Power Parity (PPP)

Where:

"S" represents exchange rate of currency 1 to currency 2

"P1" represents the cost of good "x" in currency 1

"P2" rep resents the cost of good "x" in currency 2

The following table is an estimate for largest 20 economies in 2030 and 2050 made by PricewaterhouseCoopers on January 2013.

Inflation

Inflation is defined as a sustained increase in the general level of prices for goods and services. It is measured as an annual percentage increase. As inflation rises, every dollar you own buys a smaller percentage of a good or service.

The value of a dollar does not stay constant when there is inflation. The value of a dollar is observed in terms of purchasing power, which is the real, tangible goods that money can buy. When inflation goes up, there is a decline in the purchasing power of money. For example, if the inflation rate is 2% annually, then theoretically a 100 rs pack of gum will cost 102 rs in a year. After inflation, your can't buy the same goods it could beforehand.

There are several variations on inflation:

1) Deflation is when the general level of prices is falling. This is the opposite of inflation.

2) Hyperinflation is unusually rapid inflation. In extreme cases, this can lead to the breakdown of a nation's monetary system. One of the most notable examples of hyperinflation occurred in Germany in 1923, when prices rose 2,500% in one month!

Causes of Inflation

Demand-Pull Inflation - This theory can be summarized as "too much money chasing too few goods". In other words, if demand is growing faster than supply, prices will increase. This usually occurs in growing economies.

Cost-Push Inflation - When companies' costs go up, they need to increase prices to maintain their profit margins. Increased costs can include things such as wages, taxes, or increased costs of imports.

Important note : Increase and fall in all type on rate is due to demand and supply .If the demand is higher than supply the prize rise and if the supply is high then the price fall

CHAPTER 5: Sectors and index

In nifty and sensex there are many sector .Each stock belong to an sector , as their product is defined there sector. There are various sectors like

1) Information Technology

2) Banking

3) Capital good and construction

4) Auto

5) Oil and gas

6) Power

7) Telecommunication

8) FMGC

9) Real estate index

10) Metal index

We will learn Fundamental about all this sector

Information Technology sector

Information Technology (IT) industry has played a major role in the Indian economy during the last few years. A number of large, profitable Indian companies today belong to the IT sector and a great deal of investment interest is now focused on the IT sector. In order to have a good benchmark of the Indian IT sector, IISL has developed the CNX IT sector index. CNX IT provides investors and market intermediaries with an appropriate benchmark that captures the performance of the IT segment of the market.

Companies in this index are those that have more than 50% of their turnover from IT related activities like IT Infrastructure , IT Education and Software Training , Telecommunication Services and Networking Infrastructure, Software Development, Hardware Manufacturer's, Vending, Support and Maintenance

The CNX IT Index represents about 10.99 % of the free float market capitalization of the stocks listed on NSE and 94.90 % of the free float market capitalization of the stocks forming part of the IT sector as on March 28, 2013

The Information technology industry in India has gained a brand identity as a knowledge economy due to its IT and ITES sector. The IT–ITES industry has two major components: IT Services and business process outsourcing (BPO). The growth in the service sector in India has been led by the IT–ITES sector, contributing substantially to increase in GDP, employment, and exports. The sector has increased its contribution to India's GDP from 1.2% in FY1998 to 7.5% in FY2012. According to NASSCOM, the IT–BPO sector in India aggregated revenues of US$100 billion in FY2012, where export and domestic revenue stood at US$69.1 billion and US$31.7 billion respectively, growing by over 9%. The major cities that account for about nearly 90% of this sectors exports are Bangalore, Hyderabad, Chennai, Delhi, Mumbai. Bangalore is considered to be the Silicon Valley of India because it is the leading IT exporter. Export dominate the IT–ITES industry, and constitute about 77% of the total industry revenue. Though the IT–ITES sector is export driven, the domestic market is also significant with a robust revenue growth. The industry's share of total Indian exports (merchandise plus services) increased from less than 4% in FY1998 to about 25% in FY2012. According to Gartner, the "Top Five Indian IT Services Providers" are Tata Consultancy Services, Infosys, Cognizant, Wipro and HCL Technologies.

This sector has also led to massive employment generation. The industry continues to be a net employment generator - expected to add 230,000 jobs in FY2012, thus providing direct employment to about 2.8 million, and indirectly employing 8.9 million people .Generally dominant player in the global outsourcing sector. However, the sector continues to face challenges *of competitiveness in the globalized world, particularly from countries like China and Philippines.*

India's growing stature in the Information Age enabled it to form close ties with both the United States of America and the European Union. However, the recent global financial crises has deeply impacted the Indian IT companies as well as global companies. As a result hiring has dropped sharply, and employees are looking at different sectors like the financial service, telecommunications, and manufacturing industries, which have been growing phenomenally over the last few years.

Element to consider in this sector

1) Dollar index

2) Order book

3) Forex gain or loss

Top Companies in this index

1) Tata Consultancy Services Ltd.

2) Infosys Ltd.

3) Wipro

4) HCL Technologies Ltd.

Banking sector

The Indian banking Industry has been undergoing major changes, reflecting a number of underlying developments. Advancement in communication and information technology has facilitated growth in internet-banking, ATM Network, Electronic transfer of funds and quick dissemination of information. Structural reforms in the banking sector have improved the health of the banking sector. The reforms recently introduced include the enactment of the Securitization Act to step up loan recoveries, establishment of asset reconstruction companies, initiatives on improving recoveries from Non-performing Assets (NPAs) and change in the basis of income recognition has raised transparency and efficiency in the banking system. Spurt in treasury income and improvement in loan recoveries has helped Indian Banks to record better profitability. In order to have a good benchmark of the Indian banking sector, India Index Service and Product Limited (IISL) has developed the CNX Bank Index.

CNX Bank Index is an index comprised of the most liquid and large capitalized Indian Banking stocks. It provides investors and market intermediaries with a benchmark that captures the capital market *performance of Indian Banks. The index will have 12 stocks from the banking sector which trade on the National Stock Exchange.*

he CNX Bank Index represent about 15.64%of the free float market capitalization of the stocks listed on NSE and 88.60% of the free float market capitalization of the stocks forming part of the Banking sector universe as on March 28, 2013.

Banking sector one of the important sector of index of 18% of total weigthage .

the banks provide loan to all the important sector like real-estate sector,

infrastructure and construction, Agriculture ,auto etc 2010, banking in India was generally fairly mature in terms of supply, product range and reach-even though reach in rural India still remains a challenge for the private sector and foreign banks. In terms of quality of assets and capital adequacy, Indian banks are considered to have clean, strong and transparent balance sheets relative to other banks in comparable economies in its region. The Reserve Bank of India is an autonomous body, with minimal pressure from the government. The stated policy of the Bank on the Indian Rupee is to manage volatility but without any fixed exchange rate-and this has mostly been true.

The element to consider in this sector are

1) NPA

A Non-performing asset (NPA) is defined as a credit facility in respect of which the interest and/or installment of principal has remained ‘past due’ for a specified period of time.

2) NII

Net interest margin (NIM) is a measure of the difference between the interest income generated by banks or other financial institutions and the amount of interest paid out to their lenders (for example, deposits), relative to the amount of their (interest-earning) assets. It is similar to the gross margin of non-financial companies.

3) CRR

Banks in India are required to hold a certain proportion of their deposits in the form of case . However, actually Banks don’t hold these as cash with themselves, but deposit such case with Reserve Bank of India (RBI) / currency s which is considered as equivalent to holding cash with themselves. This minimum ratio (that is the part of the total deposits to be held as cash) is stipulated by the RBI and is known as the CRR or Cash Reserve

4) REPO RATE

Repo (Repurchase) rate is the rate at which the RBI lends shot-term money to the banks. When the repo rate increases borrowing from RBI becomes more expensive

5)SLR

SLR stands for Statutory Liquidity Ratio. This term is used by bankers and indicates the minimum percentage of deposits that the bank has to maintain in form of gold, cash or other approved securities

6) Reverse repo=Reverse Repo rate is the rate at which banks park their short-term excess liquidity with the RBI. The RBI uses this tool when it feels there is too much money floating in the banking system. An increase in the reverse repo rate means that the RBI will borrow money from the banks at a higher rate of interest. As a result, banks would prefer to keep their money with the RBI

Inflation is defined as a sustained increase in the general level of prices for goods and services. It is measured as an annual percentage increase. As inflation rises, every dollar you own buys a smaller percentage of a good or service.

The value of a dollar does not stay constant when there is inflation. The value of a rupee *is observed in terms of purchasing power, which is the real, tangible goods that money can buy. When inflation goes up, there is a decline in the purchasing power of money. For example, if the inflation rate is 2% annually, then theoretically a 100 pack of gum will cost 102 in a year. After inflation, your rupee can't buy the same goods it could beforehand.*

There are several variations on inflation:

Deflation is when the general level of prices is falling. This is the opposite of inflation.

Hyperinflation is unusually rapid inflation. In extreme cases, this can lead to the breakdown of a nation's monetary system. One of the most notable examples of hyperinflation occurred in Germany in 1923, when prices rose 2,500% in one month! Stagflation is the combination of high unemployment and economic stagnation with inflation. This happened in industrialized countries during the 1970s, when a bad economy was combined with OPEC raising oil prices.

Top Companies in this index

1) State Bank of India

2) ICICI Bank Ltd.

3) Punjab National Bank

4) Axis Bank Ltd.

5) HDFC Bank Ltd.

Capital goods and Infrastructure

Infrastructure refers to all those services and facilities that constitute the basic support system of an economy. It is the foundation on which the day to day functioning of all the economic activities of a country depends. It consists of the transportation network in the form of railways, roadways, ports and civil aviation; the tele-communication system as well as the power sector. All such utilities, through their backward and forward linkages, provide an enabling environment for facilitating the growth of a nation.

The CG industry in India is broadly divided into 9 categories including Heavy Electrical Equipment, Engineering Goods, Process Plant Equipment, Earth Moving Equipment, Dies, Moulds and Tools, Textile Machinery, Machine Tools, Metallurgical Machinery and Plastic Processing Machinery. Among these sub-sectors, Heavy Electrical Equipment and Engineering Goods are the largest and fastest growing sub-sectors with a market size of over Rs 1,21,000 crand 1,16,000 cr respectively and both constitute around a 40% share each of the total output of the sector.

The Indian capital goods industry has entered into a new development phase since March 2002, due to investments in the power sector, infrastructure, oil & gas sector, steel plants and automobile industries. The capital goods industry contributes 12% of the total manufacturing activity, which is about 1.8% of the GDP. The industry currently employs over 1.5 million skilled and semi-skilled workers. Foreign Direct Investment (FDI) up to 100% permitted through the automatic route in this sector.

Industry Segments

The CG industry in India is broadly divided into 9 categories including Heavy Electrical Equipment, Engineering Goods, Process Plant Equipment, Earth Moving Equipment, Dies, Moulds and Tools, Textile Machinery, Machine Tools, Metallurgical Machinery and Plastic Processing Machinery. Among these sub-sectors, Heavy Electrical Equipment and Engineering Goods are the largest and fastest growing sub-sectors with a market size of over Rs 1,21,000 cr and 1,16,000 crrespectively and both constitute around a 40% share each of the total output of the sector.

Industry Performance

Economic slowdown and cheaper imports resulted in a 4% de-growth in FY12

In the past five years, the output of capital goods increased at average growth rate of 14.9%. However, it de-grew by 4% in FY12. on account of economic slowdown leading to sluggish domestic industrial growth. The slowdown in infrastructure as well as key user industries strained the industry players with slowdown in order inflow, delay in taking deliveries/execution of projects and delayed bill payments. Further, the surge in cheaper capital goods import was also partly responsible for the decline in production growth in FY12, as the use of second-hand machinery is high in certain sectors.

Current Scenario

Growth has declined during the first nine months of FY13

As peruse-based classification, in Apr-Dec FY13, the capital goods production declined by 10.1% as compared to a decline of 2.9% in the same period of corresponding year. Month wise, barring October, this sector has witnessed negative growth during the first nine months of the FY13.

Currently a major concern for this industry is the slowdown of ordering activity because of the slowdown in the macro economy. On the supply side, the industry's output determines its investment scenario. From the past one year, the prevailing economic slowdown has lowered the investment into the sector; this fiscal, the sector has also faced some structural issues of uncertainty in coal supply and losses of state electricity boards (SEBs) have made banks weary for lending to the sector.

Import and Export trends Over the past few years, the industry is facing the problem of higher imports. Imports presently address 30% of domestic demand for capital goods with the proportion being significantly higher in the critical components segment for each sub-sector. Capital goods import has increased by an average growth rate of 16% over the past five years under the free trade agreement, under which finished machinery is imported at a lower rate of import duty.

Challenges:

High factor cost: Domestic manufacturers bear higher cost structures compared to global peers. The reasons range from higher factor cost of power, taxation, delay in land acquisition, inefficiencies in manufacturing process, dispersed supply chains, duplication of facilities and lack of standardization. However, labor costs are competitive compared to other developing economies, but the productivity has not grown at a comparable rate since the past four years.

Mounting pressure of cheaper imports: The sub-sectors of CG, which constitute highest share in imports, also represent lowest share in domestic industry production. The increasing dependence on imports for these sub-sectors is the major reason for their lowest share in total output of the industry. The rising trend of capital goods import has become a major concern for the industry. Due to the high cost of manufacturing, the import prices of second hand capital goods are par or below the ones manufactured domestically. At the same time, import duty on finished cost is lower, thereby creating an advantage for import over domestic products. Further, free trade agreement (FTA) has created undue advantages for global players seeking to tap into the Indian demand.

Element to consider in this sector

1) Order flow

2) Order execution

3) Interest rate

4) Government policy

Top Companies in this index

1) .Bharat Heavy Electricals Ltd.

2) Jaiprakash Associates Ltd.

3) Reliance Infrastructure Ltd.

4) Larsen & Toubro Ltd.

Auto sector

The CNX Auto Index is designed to reflect the behavior and performance of the Automobiles sector which includes manufacturers of cars & motorcycles, heavy vehicles, auto ancillaries, tires, etc. The CNX Auto Index comprises of 15 stocks that are listed on the National Stock Exchange. The automotive industry in India is one of the larger markets in the world and had previously been one of the fastest growing globally, but is now seeing flat or negative growth rates. India's passenger car and commercial vehicle manufacturing industry is the sixth largest in the world, with an annual production of more than 3.9 million units in 2011. According to recent reports, India overtook Brazil and became the sixth largest passenger vehicle producer in the world (beating such old and new auto makers as Belgium, United Kingdom, Italy, Canada, Mexico, Russia, Spain, France, Brazil), grew 16 to 18 per cent to sell around three million units in the course of 2011-12.In 2009, India emerged as Asia's fourth largest exporter of passenger cars, behind Japan, South Korea, and Thailand. Government In 2010, India beat Thailand to become Asia's third largest exporter of passenger cars.

As of 2016, India is home to 80 million passenger vehicles. More than 7 million automotive vehicles were produced in India in 2016(an increase of 33.9%), making the country the second (after China) fastest growing automobile market in the world in that year. According to the Society of Indian Automobile Manufacturers, annual vehicle sales are projected to increase to 6 million by 2015, no longer 5 million as previously projected.

Element to consider in sector

1) Interest rate

2) Cost of row element

3) New launch

4) Month sale

Market Representation

The CNX Auto Index represents about 6.57% of the free float market capitalization of the stocks listed on NSE and 94.43% of the free float market capitalization of the stocks forming part of the Automobiles sector universe as on March 28, 2013.

Top Companies in this index

1) Bajaj Auto Ltd.

2) Hero Moto Corp Ltd.

3) Mahindra & Mahindra Ltd.

4) Maruti Suzuki India Ltd.

5) Tata Motors Ltd.

Oil and gas sector

As of 2016, India is the fourth largest producer of electricity and oil products and the fourth largest importer of coal and crude-oil in the world .Coal and oil together account for 66% of the energy consumption of India.

India's oil reserves meet 25% of the country's domestic oil demand. As of 2016 India's total proven oil reserves stood at 875 million metric tonnes while gas reserves stood at 1074 billion cubic meters. Oil and natural gas fields are located offshore at Mumbai High, Krishna Godavari Basin and the Cauvery Delta, and onshore mainly in the states of Assam, Gujarat and Rajasthan. India is the fourth largest consumer of oil in the world and imported $82.1 billion worth of oil in the first three quarters of 2010, which had an adverse effect on its current account deficit

.The petroleum industry in India mostly consists of public sector companies such as Oil and Natural Gas Corporation (ONGC), Hindustan Petroleum

Corporation Limited (HPCL) and Indian Oil Corporation Limited (IOCL). There are some major private Indian companies in the oil sector such as Reliance Industries Limited (RIL) which operates the world's largest oil refining complex.

Oil and Gas Index

This index is one of the important index of nifty and sensex it has big share like reliance ,ongc ,cairn india and bpcl

the total weigthage of this index is 17% on nifty

There are three main category

1) Oil and gas Exploration

2) Refining and Petrochemical

3) Marketing

Oil and gas Exploration

Oil and gas exploration company take part in new oil and gas exploration .This field is very risky and costly .Government issue block through binding process for exploration .When the oil or gas is explore in this block the company has right development that field and has start the production . Agreement is take between government and the company for profit sharing ,tax and royalty

Element to consider

1) Total Reserve of oil of gas

2) % of oil of gas that can remove from the field

3) Crude oil price

4) $ index

5) Tax, Royalty etc

Refining and Petrochemical

An oil refinery or petroleum refinery is an industrial process plant where crude oil is processed and refined into more useful products such as petroleum naphtha, gasoline, diesel fuel, asphalt base, heating oil, kerosene, and liquefied petroleum gas .Oil refineries are typically large, sprawling industrial complexes with extensive piping running throughout, carrying streams of fluids between large chemical processing units. In many ways, oil refineries use much of the technology of, and can be thought of, as types of chemical plants.

Element to consider

1) Crude oil price

2) $ index

3) Gross refining margin

4) Petrochemical margin

Oil marketing

Oil marketing company take part in sale the product like diesel ,petrol ,etc to end user from there outlet .The margin is very low and lot of government Interference in this sector

Element to consider

1) Crude oil price

2) $ index

3) Tax, Royalty etc

4) Subsidy

5) Government policy

Top Companies in this index

1) Cairn India Ltd.

2) Oil & Natural Gas Corporation Ltd.

3) Reliance Industries Ltd.

4) Bharat Petroleum Corporation Ltd.

5) GAIL (India) Ltd.

Power sector

Energy sector is universally recognized as one of the most significant inputs for economic growth. The growth of a nation, encompassing all sectors of the economy and all sections of society, is contingent on meeting its energy requirements adequately.

As a fast-growing economy, India has become one of the largest energy intensive countries in the World. Energy is a crucial input for India's development process. The need of the hour, therefore, is to meet the energy needs of all segments of India's population in the most efficient and cost-effective manner while ensuring long-term sustainability. IISL has developed CNX Energy Index to capture the performance of the companies in this sector.

Energy sector Index will include companies belonging to Power sub sectors.

Representation

The CNX Energy Index represents about 10.94% of the free float market capitalization of the stocks listed on NSE and 83.94% of the free float market capitalization of the stocks forming part of the Energy sector universe as on March 28, 2013.

The electricity sector in India had an installed capacity of 223.625 GW as of April 2013, the world's fifth largest. Captive power plants generate an additional 34.444 GW. Non Renewable Power Plants constitute 87.55% of the installed capacity and 12.45% of Renewable Capacity. India generated 855 BU (855 000 MU i.e. 855 TWh) electricity during 2011–12 fiscal.

In terms of fuel, coal-fired plants account for 57% of India's installed electricity capacity, compared to South Africa's 92%; China's 77%; and Australia's 76%. After coal, renewal hydropower accounts for 19%, renewable energy for 12% and natural gas for about 9%.The International Energy Agency estimates India will add between 600 GW to 1200 GW of additional new power generation capacity before 2050

Major economic and social drivers for India's push for electricity generation include India's goal to provide universal access, the need to replace current highly polluting energy sources in use in India with cleaner energy sources, a rapidly growing economy, increasing household incomes, limited domestic reserves of fossil fuels and the adverse impact on the environment of rapid development in urban and regional areas.

Element to consider in this sector

1) Supply of fuel: despite abundant reserves of coal, India is facing a severe shortage of coal.

2) Poor pipeline connectivity and infrastructure to harness India's abundant coal bed methane and shale gas potential.

3) Average transmission, distribution and consumer-level losses exceeding 30% which includes auxiliary power consumption of thermal power stations, etc.

Top Companies in this index

1) NTPC Ltd.

2) Tata Power Co. Ltd.

3) Jindal Steel & Power Ltd.

4) Reliance power

5) Power Grid Corporation of India Ltd.

Telecommunication sector

India's telecommunication network is the second largest in the world based on the total number of telephone users (both fixed and mobile phone).It has one of the lowest call tariffs in the world enabled by the mega telephone networks and hyper-competition among them. It has the world's third-largest Internet user-base with over 137 million as of June 2012. Major sectors of the Indian telecommunication industry are telephony, internet and television broadcasting.

Telephone Industry in the country which is in an ongoing process of transforming into next generation network, employs an extensive system of modern network elements such as digital telephone exchanges, mobile switching centers, media gateways and signaling gateways at the core, interconnected by a wide variety of transmission systems using fiber-optics or Microwave radio relay networks. The access network, which connects the subscriber to the core, is highly diversified with different copper-pair, optic-fiber and wireless technologies. DTH, a relatively new broadcasting technology has attained significant popularity in the Television segment. The introduction of private FM has given a fillip to the radio broadcasting in India. Telecommunication in India has greatly been supported by the INSAT system of the country, one of the largest domestic satellite systems in the world. India possesses a diversified communications system, which links all parts of the country by telephone, Internet, radio, television and satellite.

Element to consider in this sector

1) Margin

2) Call rate

3) Government spectrum policy

Top Companies in this index

1) Bharti Airtel Ltd

2) Idea

3) Reliance tele

4) Tata tele

FMCG sector

MCGs (Fast Moving Consumer Goods) are those goods and products, which are non-durable, mass consumption products and available off the shelf. The CNX FMCG Index comprises of 15 companies who manufacture such products which are listed on the National Stock Exchange (NSE)..

Market Representation

The CNX FMCG Index represents about 11.05 % of the free float market capitalization of the stocks listed on NSE and 86.00% of the free float market capitalization of the stocks forming part of the FMCG universe as on March 28, 2015

FMCG sector in India

The fast-moving consumer goods (FMCG) sector in India is the fourth largest sector in the economy.[citation needed] It also called the consumer packaged goods sector. The FMCG sector in India has market size in excess .of US$ 18 billion as of the year 2016The FMCG sector in India had a growth rate of 15% in the year 2016.

FMCG companies in India

The following is a list of FMCG companies in India:

1) Hindustan Unilever Ltd.

2) Colgate-Palmolive (India) Ltd.

3) ITC Limited

Element to consider in this sector are

1) Eco growth

2) Cost of row elements

3) Brand name

Real estate index

Real estate is "property consisting of land and the buildings on it, along with its natural resources such as crops, minerals, or water; immovable property of this nature; an interest vested in this; (also) an item of real *property; (more generally) buildings or housing in general. Also: the business of real estate; the profession of buying, selling, or renting land, buildings or housing.*

Element to consider in this sector

1) Interest rate

2) Cost of row elements

3) Eco growth

4) Government policy

Top Companies in this index

1) DLF Ltd.

2) HDIL

3) IB REAL

Metal sector

The CNX Metal Index is designed to reflect the behavior and performance of the Metals sector including mining. The CNX Metal Index comprises of 15 stocks that are listed on the National Stock Exchange.

The CNX Metal Index represents about 3.40% of the free float market capitalization of the stocks listed on NSE and 71.82% of the free float market capitalization of the stocks forming part of the Metals universe as on March 28, 2013.

Top Companies in this index

1) Tata Steel Ltd.

2) SAIL

3) Jindal Steel & Power Steel

4) Essear steel

TOP 10 CEOs

Bangalore: India is the powerhouse of some of the leading names in the business world. Names like Reliance, Tata, Aditya Birla, Wipro and many more such names that have a great impact on the world business, have their roots engraved in India.

The CEOs of these companies has played the most crucial role in upbringing their brand names to the global market. From bearing all the rocks to tasting success, from taking crucial decisions to managing the company, these CEOs has been the most effective and the powerful too. 'The Economic Times' has listed 10 most powerful CEOs in India during 2012.

1. Ratan Naval Tata

Rank: 1, Age: 75, Chairman, Tata Sons

Ratan Tata started his career with Tata Steel and took official retirement from Tata groups as CEO in December, 2012.

Tata, who says, ‘I don't believe in taking right decisions. I take decisions and then make them right’ has been the best role model for everyone. His dedication and true leadership took the entire Tata group to the peak of success.

After graduating, he was offered a job in IBM. He decided not to join IBM and entered into the family business. Today, Tata has become one of the popular household names in India and a very prominent name in the International Business.

2. Mukesh D. Ambani

Rank: 2, Age: 55, Chairman & Managing Director, Reliance Industries

The senior Ambani brother is the richest Indian at present. His company RIL operates on petroleum, petrochemicals, textiles and retails.

Ambani’s RIL is the largest Indian private sector and his ‘Mumbai Indians’ has been declared as the second largest sports club in the world.

He completed his BE in Chemical Engineering from University of Mumbai and joined Stanford University. However, after one year, he returned back to India to help his father in the family business.

3. Kumar Mangalam Birla

Rank: 3, Age: 43, Chairman, Aditya Birla Group

After the sudden loss of his father in 1995, he became the Chairman of the Aditya Birla Group. He became the youngest Indian to lead a billion dollar company.

Aditya Birla group has hands over almost every sector; retail, financial, tele-communication, insulators, cement, fertilizers and many more.

He completed BCom from 'HR College of Commerce & Economics', Mumbai. After graduation, he joined London Business School and completed his MBA.

Under his leadership, Aditya Birla group became the third largest business group in India.

4. Azim Hashim Premji

Rank: 4, Age: 67, Chairman, Wipro

Azim Premji is a Stanford dropout. The sudden death of his father forced him to return to India and take care of Wipro. During those days, Wipro was *a consumer product company.*

Today, Wipro is one of the largest IT companies in India and has an equivalent reputation globally. It is also the second-largest hydraulic cylinder company in the world.

He is also one of the most powerful members in the India Inc. He was awarded with 'Padma Vibhushan' in 2011.

5 .Chanda Kochhar

Rank: 5, Age: 51, Managing Director & Chief Executive Officer, ICICI Bank

Born on November 17, 1961 on Jaipur (Rajasthan), Chanda Kochhar did her schooling in Jaipur. She completed her graduation in 1982 in Arts from 'Jai Hind College' in Mumbai. After graduation, she completed her masters in Management studies from Jamanlal Bajaj Institute of Management Studies.

She is currently the CEO and the Managing Director of India's largest private bank, ICICI Bank. She is one of the leading leaders in India Inc.

She has been awarded Padma Bhushan in 2010 for her glorious work in the banking sector. She is considered as one of the most powerful women around the globe.

6. Deepak Parekh

Rank: 6, Age: 68, Chairman, HDFC

Deepak Parekh was a Chartered Accountant by profession when he joined Ernst & Young Management Consultancy, New York. After a few years in Ernst & Young, he came back to India and worked with Grindlays Bank and Chase Manhattan Bank.

HDFC happened to him in 1978. He became the Managing Director of HDFC in 1985 and by the year 1993, he became the Chairman.

He is considered to be the key person behind the success of HDFC as India's largest housing and finance institutions.

7. AM Naik

Rank: 7, Age: 70, Chairman & Managing Director, Larsen & Toubro

Aninl Manibhai Naik applied for engineering programmer in Mukand Iron & Steel Works. His ineptness towards English didn't allow him into the engineering programmer. Thus he joined Nestler Boilers.

He left Nestle Boilers in 1964 and joined L&T in 1965 as a junior engineer. By 1986, he became the General Manager and later in 1999, he became the CEO and the Managing Director.

In 2009, he became the Chairman on Larsen & Turbo.

In 2008, he received 'Economic Times Awards-Business Leader of the Year' award and was awarded Padma Bhushan in 2009.

8. Anand G Mahindra

Rank: 8, Age: 57, Vice Chairman & Managing Director, Mahindra Group

Anand Mahindra is a Harvard College graduate. He also holds a MBA from Harvard Business School (1981).

He joined Mahindra group in 1991 as a Deputy Managing Director. He took the charge of the Managing Director from his uncle Keshub Mahindra in 1997.

Anand's leadership helped the Mahindra group to grow rapidly. Under his leadership, Mahindra group acquired major names in the corporate market. He acquired Satyam Computer Services (2009), Reva Electric Vehicles (2010) and Ssangyong Motor Company (2010).

Anand Mahindra took Indian SUV to the global market with the launch of 'Mahindra Scorpio'.

9 Adi Godrej

Rank: 9, Age: 70, Chairman, Godrej Group

Adi Godrej is considered to be the second richest Parsi in the world with a net worth of $9 billion. He is the Chairman of Godrej Group.

After completing his studies in MIT, he came back to India and joined their family business. His management skills took Godrej group to an untouched limit.

He is an active supporter of World Wildlife Fund, India. He has been elected as the president of Confederation of Indian Industry (CII) for the tenure 2012-13.

10. Kundapur Vaman Kamath

Rank: 10, Age: 65, Chairman, Infosys & Non-Executive Chairman, ICICI Bank

From May 1, 1996 to April 30, 2009, Kamath was the Managing Director and CEO of ICICI bank.

After Infosys founder Narayana Murhty stepped down as the Chairman of Infosys, Kamath became the successor. He took responsibilities on August 21, 2011.

Born and brought up in Mangalore, Karnataka, Kamath completed mechanical engineering from Karnataka Regional Engineering College (KREC, now called National Institute of Technology Karnataka). He did his masters in Business Administration from Indian Institute of Management, Ahmedabad.

He is also an independent director of Houston-based oil services company Schlumberger. He received Padma Bhushan in 2008

CHAPTER 6: Technical of market

This chapter covers some important and basic technical of market.

Technical Analysis: introduction

We'll introduce you to the subject of technical analysis. It's a broad topic, so we'll just cover the basics, providing you with the foundation you'll need to understand more advanced concepts down the road. the methods used to analyze securities and make investment decisions fall into two very broad categories: fundamental analysis and technical analysis. Fundamental analysis involves analyzing the characteristics of a company in order to estimate its value. Technical analysis takes a completely different approach; it doesn't care one bit about the "value" of a company or a commodity. Technicians (sometimes called chartists) are only interested in the price movements in the market.

Despite all the fancy and exotic tools it employs, technical analysis really just studies supply and demand in a market in an attempt to determine what direction, or trend, will continue in the future. In other words, technical analysis attempts to understand the emotions in the market by studying the market itself, as opposed to its components. If you understand the benefits and limitations of technical analysis, it can give you a new set of tools or skills that will enable you to be a better trader or investor.

What Is Technical Analysis?

Technical analysis is a method of evaluating securities by analyzing the statistics generated by market activity, such as past prices and volume. Technical analysts do not attempt to measure a security's intrinsic value, but instead use charts and other tools to identify patterns that can suggest future activity.

Just as there are many investment styles on the fundamental side, there are also many different types of technical traders. Some rely on chart patterns, others use technicalindicatorsandoscillators, and most use some combination of the two. In any case, technical analysts' exclusive use of historical price and volume data is what separates them from their fundamental counterparts. Unlike fundamental analysts,technical analysts don't care whether a stock isundervalued- the only thing that matters is a security's past trading data and what information this data can provide about where the security might move in the future.

The field of technical analysis is based on three assumptions:

1.The market discounts everything.

2.Price moves in trends.

3.History tends to repeat itself.

1. The Market Discounts Everything

A major criticism of technical analysis is that it only considers price movement, ignoring the fundamental factors of the company. However, technical analysis assumes that, at any given time, a stock's price reflects everything that has or could affect the company - including fundamental factors. Technical analysts believe that the company's fundamentals, along with broader economic factors and market psychology, are all priced into the stock, removing the need to actually consider these factors separately. This only leaves the analysis of price movement, which technical theory views as a product of the supply and demand for a particular stock in the market.

2. Price Moves in Trends

In technical analysis, price movements are believed to follow trends. This means that after a trend has been established, the future price movement is more likely to be in the same direction as the trend than to be against it. Most technical trading strategies are based on this assumption.

3. History Tends To Repeat Itself

Another important idea in technical analysis is that history tends to repeat itself, mainly in terms of price movement. The repetitive nature of price movements is attributed to market psychology; in other words, market *participants tend to provide a consistent reaction to similar market stimuli over time. Technical analysis uses chart patterns to analyze market movements and understand trends. Although many of these charts have been used for more than 100 years, they are still believed to be relevant because they illustrate patterns in price movements that often repeat themselves.*

Technical analysis can be used on any security with historical trading data. This includes stocks,futuresandcommodities, fixed-income securities,forex, etc. In this tutorial, we'll usually analyze stocks in our examples, but keep in mind that these concepts can be applied to any type of security. In fact, technical analysis is more frequently associated with commodities and forex, where the participants are predominantlytraders.

Now that you understand the philosophy behind technical analysis,we'll get into explaining how it really works. One of the best ways to understand what technical analysis is (and is not) is to compare it to fundamental analysis. We'll do this in the next section.

Technical Analysis: Fundamental Vs. Technical Analysis

Technical analysis and fundamental analysis are the two main schools of thought in the financial markets. As we've mentioned, technical analysis looks at the price movement of a security and uses this data to predict its *future price movements. Fundamental analysis, on the other hand, looks at economic factors, known as fundamentals. Let's get into the details of how these two approaches differ, the criticisms against technical analysis and how technical and fundamental analysis can be used together to analyze securities.*

The Differences

Charts vs. Financial Statements

At the most basic level, a technical analyst approaches a security from the charts, while a fundamental analyst starts with the financial statements. (For further reading, see Introduction To Fundamental Analysis and Advanced Financial Statement Analysis.)

By looking at the balance sheet, cash flow statement and income statement, a fundamental analyst tries to determine a company's value. In financial terms, an analyst attempts to measure a company's intrinsic value. In this approach, investment decisions are fairly easy to make - if the price of a stock trades below its intrinsic value, it's a good investment. Although this is an oversimplification (fundamental analysis goes beyond just the financial statements) for the purposes of this tutorial, this simple tenet holds true.

Technical traders, on the other hand, believe there is no reason to analyze a company's fundamentals because these are all accounted for in the stock's *price. Technicians believe that all the information they need about a stock can be found in its charts.*

Time Horizon

Fundamental analysis takes a relatively long-term approach to analyzing the market compared to technical analysis. While technical analysis can be used on a timeframe of weeks, days or even minutes, fundamental analysis often looks at data over a number of years.

The different timeframes that these two approaches use is a result of the nature of the investing style to which they each adhere. It can take a long time for a company's value to be reflected in the market, so when a fundamental analyst estimates intrinsic value, a gain is not realized until the stock's market price rises to its "correct" value. This type of investing is called value investing and assumes that the short-term market is wrong, but that the price of a particular stock will correct itself over the long run. This "long run" can represent a timeframe of as long as several years, in some cases. (For more insight, read Warren Buffett: How He Does It and What Is Warren Buffett's Investing Style?)

Furthermore, the numbers that a fundamentalist analyzes are only released over long periods of time. Financial statements are filed quarterly and changes in earnings per share don't emerge on a daily basis like price and volume information. Also remember that fundamentals are the actual characteristics of a business. New management can't implement sweeping changes overnight and it takes time to create new products, marketing campaigns, supply chains, etc. Part of the reason that fundamental analysts *use a long-term timeframe, therefore, is because the data they use to analyze a stock is generated much more slowly than the price and volume data used by technical analysts.*

Trading Versus Investing

Not only is technical analysis more short term in nature than fundamental analysis, but the goals of a purchase (or sale) of a stock are usually different for each approach. In general, technical analysis is used for a trade, whereas fundamental analysis is used to make an investment. Investors buy assets they believe can increase in value, while traders buy assets they believe they can sell to somebody else at a greater price. The line between a trade and an investment can be blurry, but it does characterize a difference between the two schools.

The Critics

Some critics see technical analysis as a form of black magic. Don't be surprised to see them question the validity of the discipline to the point where they mock its supporters. In fact, technical analysis has only recently begun to enjoy some mainstream credibility. While most analysts on Wall Street focus on the fundamental side, just about any major brokerage now employs technical analysts as well.

Much of the criticism of technical analysis has its roots in academic theory - specifically the efficient market hypothesis (EMH). This theory says that the market's price is always the correct one - any past trading information *is already reflected in the price of the stock and, therefore, any analysis to find undervalued securities is useless.*

There are three versions of EMH. In the first, called weak form efficiency, all past price information is already included in the current price. According to weak form efficiency, technical analysis can't predict future movements because all past information has already been accounted for and, therefore, analyzing the stock's past price movements will provide no insight into its future movements. In the second, semi-strong form efficiency, fundamental analysis is also claimed to be of little use in finding investment opportunities. The third is strong form efficiency, which states that all information in the market is accounted for in a stock's price and neither technical nor fundamental analysis can provide investors with an edge. The vast majority of academics believe in at least the weak version of EMH, therefore, from their point of view, if technical analysis works, market efficiency will be called into question. (For more insight, read What Is Market Efficiency? and Working Through The Efficient Market Hypothesis.)

There is no right answer as to who is correct. There are arguments to be made on both sides and, therefore, it's up to you to do the homework and determine your own philosophy.

Can They Co-Exist?

Although technical analysis and fundamental analysis are seen by many as polar opposites - the oil and water of investing - many market participants have experienced great success by combining the two. For example, some fundamental analysts use technical analysis techniques to figure out the best time to enter into an undervalued security. Oftentimes, this situation *occurs when the security is severely oversold. By timing entry into a security, the gains on the investment can be greatly improved.*

Alternatively, some technical traders might look at fundamentals to add strength to a technical signal. For example, if a sell signal is given through technical patterns and indicators, a technical trader might look to reaffirm his or her decision by looking at some key fundamental data. Oftentimes, having both the fundamentals and technical's on your side can provide the best-case scenario for a trade.

While mixing some of the components of technical and fundamental analysis is not well received by the most devoted groups in each school, there are certainly benefits to at least understanding both schools of thought.

In the following sections, we'll take a more detailed look at technical analysis.

See the following points

200 DMA and 50 DMA

200 day moving day averages

Most chart patterns show a lot of variation in price movement. This can make it difficult for traders to get an idea of a security's overall trend. One simple method traders use to combat this is to apply moving averages. A moving average is the average price of a security over a set amount of time. By plotting a security's average price, the price movement is smoothed out. Once the day-to-day fluctuations are removed, traders are better able to identify the true trend and increase the probability that it will work in their favor.

Types of Moving Averages

There are a number of different types of moving averages that vary in the way they are calculated, but how each average is interpreted remains the same. The calculations only differ in regards to the weighting that they place on the price data, shifting from equal weighting of each price point to more weight being placed on recent data.

Simple Moving Average (SMA)

This is the most common method used to calculate the moving average of prices. It simply takes the sum of all of the past closing prices over the time period and divides the result by the number of prices used in the calculation. For example, in a 200 moving average, the last200 closing prices are added together and then divided by 200 a trading days, is able to make the average less responsive to changing prices by increasing the number of periods used in the calculation. Increasing the number of time periods in the calculation is one of the best ways to gauge the strength of *the long-term trend and the likelihood that it will reverse. The same Patten is use for 50 days*

Resistance and support

Support and resistance

Support

A support level is a price level where the price tends to find support as it is going down. This means the price is more likely to "bounce" off this level rather than break through it. However, once the price has passed this level, by an amount exceeding some noise, it is likely to continue dropping until it finds another support level.

Resistance

find resistance as it is going up. This means the price is more likely to "bounce" off this level rather than break through it. However, once the price has passed this level, by an amount exceeding some noise, it is likely that it will continue rising until it finds another resistance level.

The Importance of Support and Resistance

Support and resistance analysis is an important part of trends because it can be used to make trading decisions and identify when a trend is reversing. For example, if a trader identifies an important level of resistance that has been tested several times but never broken, he or she may decide to take profits as the security moves toward this point because it is unlikely that it will move past this level.

Support and resistance levels both test and confirm trends and need to be monitored by anyone who uses technical analysis. As long as the price of the share remains between these levels of support and resistance, the trend is likely to continue. It is important to note, however, that a break beyond a level of support or resistance does not always have to be a reversal. For example, if prices moved above the resistance levels of an upward trending channel, the trend has accelerated, not reversed. This means that the price appreciation is expected to be faster than it was in the channel.

Being aware of these important support and resistance points should affect the way that you trade a stock. Traders should avoid placing orders at these major points, as the area around them is usually marked by a lot of volatility. If you feel confident about making a trade near a support or resistance level, it is important that you follow this simple rule: do not place orders directly at the support or resistance level. This is because in many cases, the price never actually reaches the whole number, but flirts with it instead. So if you're bullish on a stock that is moving toward an important support level, do not place the trade at the support level. Instead, place it above the support level, but within a few points. On the other hand, if you are placing stops or short selling, set up your trade price at or below the level of support.

Chart and volume

Volume and chart

What is Volume?

Volume is simply the number of shares or contracts that trade over a given period of time, usually a day. The higher the volume, the more active the security. To determine the movement of the volume (up or down), chartists look at the volume bars that can usually be found at the bottom of any chart. Volume bars illustrate how many shares have traded per period and show trends in the same way that prices do.

Why Volume is Important

Volume is an important aspect of technical analysis because it is used to confirm trends and chart patterns. Any price movement up or down with relatively high volume is seen as a stronger, more relevant move than a similar move with weak volume. Therefore, if you are looking at a large price movement, you should also examine the volume to see whether it tells the same story.

Say, for example, that a stock jumps 5% in one trading day after being in a long downtrend. Is this a sign of a trend reversal? This is where volume helps traders. If volume is high during the day relative to the average daily volume, it is a sign that the reversal is probably for real. On the other hand, if the volume is below average, there may not be enough conviction to support a true trend reversal.

Volume should move with the trend. If prices are moving in an upward trend, volume should increase (and vice versa). If the previous relationship between volume and price movements starts to deteriorate, it is usually a sign of weakness in the trend. For example, if the stock is in an uptrend but the up trading days are marked with lower volume, it is a sign that the trend is starting to lose its legs and may soon end.

Volume and Chart Patterns

The other use of volume is to confirm chart patterns. Patterns such as head and shoulders, triangles, flags and other price patterns can be confirmed with volume, a process which we'll describe in more detail later in this tutorial. In most chart patterns, there are several pivotal points that are vital to what the chart is able to convey to chartists. Basically, if the volume is not there to confirm the pivotal moments of a chart pattern, the quality of the signal formed by the pattern is weakened.

In technical analysis, charts are similar to the charts that you see in any business setting. A chart is simply a graphical representation of a series of prices over a set time frame. For example, a chart may show a stock's price movement over a one-year period, where each point on the graph represents the closing price for each day the stock is traded:

Trend of market

One of the most important concepts in technical analysis is that of trend. The meaning in finance isn't all that different from the general definition of the term - a trend is really nothing more than the general direction in which a security or market is headed. Take a look at the chart below:

Types of Trend

There are three types of trend:

1] Uptrend

2] Downtrends

3] Sideways/Horizontal Trends.

As the names imply, when each successive peak and trough is higher, it's referred to as an upward trend. If the peaks and troughs are getting lower, it's a downtrend. When there is little movement up or down in the peaks and troughs, it's a sideways or horizontal trend

When analyzing trends, it is important that the chart is constructed to best reflect the type of trend being analyzed. To help identify long-term trends, weekly charts or daily charts spanning a five-year period are used by chartists to get a better idea of the long-term trend. Daily data charts are best used when analyzing both intermediate and short-term trends. It is also important to remember that the longer the trend, the more important it is

Head and shoulder pattern

Head and shoulders top

Head and Shoulders formation consists of a left shoulder, a head, and a right shoulder and a line drawn as the neckline. The left shoulder is formed at the end of an extensive move during which volume is

notice ably high. After the peak of the left shoulder is formed, there is a subsequent reaction and prices slide down to a certain extent which generally occurs on low volume. The prices rally up to form the head with normal or heavy volume and subsequent reaction downward is accompanied with lesser volume.

The right shoulder is formed when prices move up again but remain below the central peak called the Head and fall down nearly equal to the first valley between the left shoulder and the head or at least below the peak of the left shoulder. Volume is lesser in the right shoulder formation compared to the left shoulder and the head formation. A neckline is drawn across the *bottoms of the left shoulder, the head and the right shoulder. When prices break through this neckline and keep on falling after forming the right shoulder, it is the ultimate confirmation of the completion of the Head and Shoulders Top*

Formation. It is quite possible that prices pull back to touch the neckline before continuing their

Declining trend.

Head and shoulders bottom

This formation is simply the inverse of a Head and Shoulders To often indicates a change in the trend and the sentiment. The formation is upside down in which volume pattern is different from a Head and Shoulder Top. Prices move up from first low with increase volume up to a level to complete the lefts Shoulder formation and then falls down to a new low. It follows by a recovery move that is marked by somewhat more volume than seen before to complete the head formation. A corrective reaction on low volume occurs to start formation of the right shoulder and then a sharp move up that must be on quite heavy volume breaks though the neckline.

Another difference between the Head and Shoulders Top and Bottom is that the Top Formations are completed in a few weeks, whereas a Major

Bottom (Left, right shoulder or the head) usually takes alonger, and as observed, may prolong for a period of several months or sometimes more than a year.

DEFINITION of 'Double Bottom'

A charting pattern used in technical analysis. It describes the drop of a stock (or index), a rebound, another drop to the same (or similar) level as the original drop, and finally another rebound.

'Double Bottom'

The double bottom looks like the letter "W". The twice touched low is considered a support level.

Most technical analysts believe that the advance off of the first bottom should be 10-20%. The second bottom should form within 3-4% of the previous low, and volume on the ensuing advance should increase.

DEFINITION OF 'BAR CHART'

A style of chart used by some technical analysts, on which, as illustrated below, the top of the vertical line indicates the highest price a security traded at during the day, and the bottom represents the lowest price. The closing price is displayed on the right side of the bar, and the opening price *is shown on the left side of the bar. A single bar like the one below represents one day of trading.*

EXPLAINS 'BAR CHART'

These are the most popular type of chart used in technical analysis. The visual representation of price activity over a given period of time is used to spot trends and patterns.

DEFINITION OF 'ACCUMULATION/DISTRIBUTION'

An indicator that tracks the relationship between volume and price. It is often considered a leading indicator because it shows when a stock is being accumulated or distributed, foreshadowing major price moves. When the Accumulation/Distribution line is moving in the same direction as the price trend, it confirms the trend. When the Accumulation/Distribution line is moving in the opposite direction of the price trend, it indicates the price trend may not be sustainable. The indicator has a three step calculation:

1. Money Flow Multiplier = [(close - low) - (high - close)] /(high - low)

2. Money Flow Volume = Money Flow Multiplier x volume for the period

3. Accumulation/Distribution= previous Accumulation/Distribution + current period's Money Flow Volume

'ACCUMULATION/DISTRIBUTION'

The indicator is primarily used to confirm price trends, or spot potential trend changes in price based on divergence with the Accumulation/Distribution line.

The indicator looks at each period individually, and whether the price closes in the upper or lower portion of the period's (day's) range. This means not all divergences will result in a price trend reversal. Occasionally anomalies will occur where the price is trending lower (higher) but the indicator is rising (falling), because even though the price trend is down, each day the price is finishing in the upper portion of its daily range. High volume days can accentuate this characteristic.

Therefore, the indicator is different from other cumulative volume indicators, such as On-Balance Volume (OBV).

DEFINITION of 'Double Top'

A term used in technical analysis to describe the rise of a stock, a drop, another rise to the same level as the original rise, and finally another drop.

EXPLAINS 'Double Top'

The double top looks like the letter "M". The twice touched high is considered a resistance level.

DEFINITION OF 'TECHNICAL INDICATOR'

Any class of metrics whose value is derived from generic price activity in a stock or asset. Technical indicators look to predict the future price levels, or simply the general price direction, of a security by looking at past patterns. Examples of common technical indicators include Relative Strength Index, Money Flow Index,

EXPLAINS 'TECHNICAL INDICATOR'

Technical indicators, collectively called "technical’s", are distinguished by the fact that they do not analyze any part of the fundamental business, like earnings, revenue and profit margins. Technical indicators are used most extensively by active traders in the market, as they are designed primarily for analyzing short-term price movements. To a long-term investor, most technical indicators are of little value, as they do nothing to shed light on the underlying business. The most effective uses of technical’s for a long-term investor are to help identify good entry and exit points for the stock by analyzing the long-term trend.

technical and easy-to-understand explanations.

DEFINITION OF 'TRADE SIGNAL'

A sign, usually based on technical indicators, that it is a good time to buy or sell a particular security. Trade signals come in a variety of forms, including bull or bear pennants, rectangles, triangles and wedges, as well as head-and-shoulders chart patterns. Trade signals may also bring attention to abnormal volumes, options activity and short interest.

'TRADE SIGNAL'

Trade signals can also be combined with fundamental analysis to give investors another weapon in their stock trading arsenal. In volatile markets and/or with high-beta stocks, using trade signals can be invaluable to investors - not only to point out promising opportunities as they appear, but also to signal when they may disappear.

DEFINITION OF 'SIMPLE MOVING AVERAGE - SMA'

A simple, or arithmetic, moving average that is calculated by adding the closing price of the security for a number of time periods and then dividing this total by the number of time periods. Short-term averages respond quickly to changes in the price of the underlying, while long-term averages are slow to react.

EXPLAINS 'SIMPLE MOVING AVERAGE - SMA'

In other words, this is the average stock price over a certain period of time. Keep in mind that equal weighting is given to each daily price. As shown in the chart above, many traders watch for short-term averages to cross above longer-term averages to signal the beginning of an uptrend. As shown by the blue arrows, short-term averages (e.g. 15-period SMA) act as levels of support when the price experiences a pullback. Support levels become stronger and more significant as the number of time periods used in the calculations increases.

Generally, when you hear the term "moving average", it is in reference to a simple moving average. This can be important, especially when comparing to an exponential moving average (EMA).

CHAPTER 7: Future and option

Future market

Futures

Like a forward contract, a futures contract is an agreement between two parties in which the buyer agrees to buy an underlying asset from the seller, at a future date at a price that is agreed upon today. However, unlike a forward contract, a futures contract is not a private transaction but gets traded on a recognized stock exchange. In addition, a futures contract is standardized by the exchange. All the terms, other than the price, are set by the stock exchange (rather than by individual parties as in the case of a forward contract). Also, both buyer and seller of the futures contracts are protected against the counter party risk by an

entity called the Clearing Corporation. The Clearing Corporation provides this guarantee to ensure that the buyer or the seller of a futures contract does not suffer as a result of the counter party defaulting on its obligation. In case one of the parties defaults, the Clearing

Corporation steps in to fulfill the obligation of this party, so that the other party does not suffer due to non-fulfillment of the contract. To be able to guarantee the fulfillment of the obligations under the contract, the Clearing Corporation holds an amount as a security from both the parties. This amount is called the Margin money and can be in the form of cash or other Financial assets. Also, since the futures contracts are traded on the stock exchanges, the parties have the flexibility of closing out

Future market help you leverage , hedge and separate your underlying stock futures gives you right to buy a lot of stock by given only 25% of money of total price of that lot call as margin money. you can

See with an example

*let us consider that you have buy a lot of SBI of lot size of 125 at the rate of 2000 on mouth of march as expiry date at 29 th march then the total margin you have to pay 25 % of total value of lot that is total value of lot is 125*2000=250000 rs 25% of it is 62500 rs know if the stock rise from 2000 to 2100 in that month your net profit will be*

*2100-2000=100*125=12500 rs and if you stock fell from 2000 to 1950 the total loss will be*

*2000-1950=50*125=6250 rs*

you can do opposite to this you can sell the stock if the stock rise you will lose the money if the stock fall you will gain example

let us consider that you have sell a lot of SBI of lot size of 125 at the rate of 2000 on

mouth of march as expiry date at 29 th march

*then the total margin you have to pay 25 % of total value of lot that is total value of lot is 125*2000=250000 rs 25% of it is 62500 rs* *know if the stock rise from 2000 to 2100 in that month your net loss will be 2100-2000=100*125=12500 rs and*

*2000-1950=50*125=6250 rs*

Option market

Options:

An Option is a contract which gives the right, but not an

Obligation, to buy or sell the underlying at a stated date and at a stated price. While a buyer of an option pays the premium and buys the right to exercise his option, the writer of an option is the one who receives the option premium and therefore obliged to sell/buy the asset if the buyer exercises it on him.

Options are of two types - Calls and Puts options:

'Calls' give the buyer the right but not the obligation to buy a given

Quantity of the underlying asset, at a given price on or before a given

Future date.

'Puts' give the buyer the right, but not the obligation to sell a given

Quantity of underlying asset at a given price on or before a given

future date.

Presently, at NSE futures and options are traded on the Nifty, CNX IT, BANK

Nifty and 116 single stock

Element to consider during f&o are

1) Call option =buy the market or stock

2) Put option = sell the market or stock

3) Share lot size

4) Spot price

Example

let consider you think the price of SBI will go up at the month of march at present it is 2000and you think it will go to 2100 so you buy a lot of SBI of size 125 of spot prize of 2100 and the price of call is 25 rs then total margin you have to pay is

*125*20=2500 rs if all goes will and the price of SBI is 2124 above the spot price and your call price also goes up say 100 then the total profit will be*

*100*125=12500-2500(margin paid)=10000 rs*

If the stock fall to 1900 then your loss will be the margin paid by you that is 2500

let consider you think the price of SBI will go down at the month of march at present it is 2000and you

Think it will go to 1900 so you buy put option a lot of SBI of size 125 of spot prize of 1900 and the price of call is 25 rs then total margin you have to pay is

*125*20=2500 rs if all goes will and the price of SBI is 1875above the spot price and your call price also goes up say 100 then the total profit will be*

*100*125=12500-2500(margin paid)=10000 rs*

if the stock rise to 2100 then your loss will be the margin paid by you that is 2500

note ; use f&o for hedgeing your stock only

Hedging

A risk management strategy used in limiting or offsetting probability of loss from fluctuations in the prices of commodities, currencies, or securities. In *effect, hedging is a transfer of risk without buying insurance policies.*

Hedging employs various techniques but, basically, involves taking equal and opposite positions in two different markets (such as cash and futures markets). Hedging is used also in protecting one's capital against effects of inflation through investing in high-yield financial instruments (bonds, notes, shares), real estate, or precious metals.

Hedging is process in which we can insure your stock by various method

for example if you have buy 1oo stock of SBI at the market rate that 2000 rs the total money you paid is

200000 rs .If there is any big event in that mouth and the price can move other way so you can buy a put option of 1900 at the rate of 25 rs if the if the stock fell to 1775 then your lose in the cash market will

*2000-1800=225*100=22500 rs but you have buy put option as the stock fall below 1900 so the price*

will rise to 225 so net profit will be

*225-25=200*125=25000-2500(margin)=22500 rs*

so you lost 22500 rs in cash market but gain 22500 rs in put option that mean you do not loss any money this process is call as hedging that protect or insure your money

Spot price (ST)

Spot price of an underlying asset is the price that is quoted for immediate delivery of the asset.

For example, at the NSE, the spot price of Reliance Ltd. at any given time is the price at which Reliance Ltd. shares are being traded at that time in the Cash Market Segment of the NSE. Spot price is also referred to as cash price sometimes.

Expiration date (T)

In the case of Futures, Forwards and Index Options, Expiration Date is the only date on which settlement takes place. In case of stock options, on the other hand, Expiration date (or simply expiry), is the last date on which the option can be exercised. It is also called the final settlement date.

What is 'SPAN Margin'

SPAN margin is short for standardized portfolio analysis of risk (SPAN). This is a leading margin system, which has been adopted by most options *and futures exchanges around the world. SPAN is based on a sophisticated set of algorithms that determine margin according to a global (total portfolio) assessment of the one-day risk for a trader's account.*

BREAKING DOWN 'SPAN Margin'

Options and futures writers are required to have a sufficient amount of margin in their accounts to cover potential losses. The SPAN system, through its algorithms, sets the margin of each position to its calculated worst possible one-day move. The system, after calculating the margin of each position, can shift any excess margin on existing positions to new positions or existing positions that are short of margin.

Contract size

As futures and options are standardized contracts traded on an exchange, they have a fixed contract size. One contract of a derivatives instrument represents a certain number of shares Of the underlying asset. For example, if one contract of BHEL consists of 300 shares of BHEL, then futures price, the buyer will make a profit of 300 X 1 = Rs 300 in rise share by one Re and for every Re 1 fall in BHEL's futures price, he will lose Rs 300.

In the spot market, the buyer of a stock has to pay the entire transaction amount (for purchasing the stock) to the seller. For example, if Infosys is trading at Rs. 2000 a share and an investor wants to buy 100 Infosys shares, then he has to pay

Rs. 2000 X 100 = Rs.2, 00,000 to the seller. The settlement will take place on T+2 basis; that is, two days after the transaction date.

In a derivatives contract, a person enters into a trade today (buy or sell) but the settlement happens on a future date. Because of this, there is a high possibility of default by any of the parties. Futures and option contracts are traded through exchanges and the counter party risk is taken care of by the clearing corporation. In order to prevent any of the parties from defaulting on his trade commitment, the clearing corporation levies a margin on the buyer as well as seller of the futures and option contracts. This margin is a percentage (approximately

20%) o f the total contract value. Thus, for the aforementioned example, if a person wants to buy 100 Infosys futures, then he will have to pay 20% of the contract value of Rs 2,00,000 = Rs 40,000 as a margin to the clearing corporation. This margin is applicable to both, the buyer and the seller of a futures contract.

Speculators

A Speculator is one who bets on the derivatives market based on his views on the potential movement of the underlying stock price. Speculators take large, calculated risks as they trade based on anticipated future price movements. They hope to make quick, large gains; but may not always be successful. They normally have shorter holding time for their positions as compared to hedgers. If the price of the underlying moves as per their expectation they can make large profits. However, if the price moves in the opposite direction of their assessment, the losses can also be enormous.

Rollover

Roll over is not done in shares but in derivatives segment of share market. Derivatives are popularly known as "F &O" in Indian stock markets.

Whatever position you have taken in "futures" will be squared off at the end of the "futures" end date.

Instead you square off the position in near month and initiate a fresh position in "mid month" or "for month" in futures, is "Roll over".

Future contracts are always available in 3 different expiries- near month , mid month and far month. For

example, on NSE the near month contracts will end on 28th June 2007, mid month on 26th July and the for month on 30th Aug 2007.

Hence if you purchase / sell a futures contract now for near month, it will be automatically exercised on 28th June. Suppose before this, you square off and took a same position in July or Aug contracts, it will be called as "roll over".

Premium and Discount

A fund's NAV represents the market value of all securities owned by the portfolio plus all other assets minus liabilities and divided by the total *number of shares outstanding. The share price of a closed-end fund may, at any time, be above (selling at a premium) or below (selling at a discount) its NAV. For*

example, if the price of a fund share is $18 and its NAV is $20, then the closed-end fund is selling at a discount of $2 per share (or 10% discount). On the other hand, if the share price is $21, the closed-end fund is selling at a premium of $1 (or 5% premium).

There are numerous factors that contribute to how a closed-end fund trades. Thus, a particular close den fund's trading pattern is not always easily explained.

CHAPTER 8: Point to consider at time of Investment and Trading

Point to consider at time of Investment

1) Selection of good stock = when you are taking a call on stock select the good fundamental stock

2) See the business models= Business model design includes the modeling and description of a company's:

Brand name

Target customer segments

Distribution channels

Customer relationships

Value configurations

Core capabilities

Partner network

Cost structure

Revenue model

3) See the business environment = then you are buying stock look in which environment the business is taking place

a. External Environment

External environment includes all those factors which influence business and exist outside the business. Business has no control over these factors. The information about these factors is important for the study of the external environment.

) Customers (ii) Suppliers (iii) Competitors (iv) Public (v) Marketing Intermediaries.

b Internal environment

Internal environment includes all those factors which influence business and which are present within the business itself. These factors are usually under the control of business. The study of internal factors is really important for the study of internal environment. These factors are:

(i) Objectives of Business, (ii) Policies of Business, (iii) Production Capacity, (iv) Production Methods, (v) Management Information System, (vi) Participation in Management, (vii) Composition of Board of Directors, (viii) Managerial Attitude, (ix) Organizational Structure, (x) Features of Human Resource, etc.

4) See the OPM of the company

5)5) See E.P.S of the stock

6) See P.E of the stock

7) See cash and loan of the stock company

8) Read the future of that stock

9) See if the company is making any new discovery, new launch ,add production in future

10) See the Promoter Holding:

How trade to in market?

Trading is high risk return .It is gambling of market but still it is important part of the of the market because of trading of market make fluctuauate in market. This make markets goes up and down and it good for market as investors they can invest and sell at the good price .Flat market or nonmoving market does not like by any one.

There are three the of trade;

1) Short term trade

2) Medium term trade

3) Long term trade

Short term trade

This trade is for one day to one week time . The trader can buy or sell the stock , index or market for one day to one week time range .

See the following before trading

1) See any big event in time range of your call such as RBI policy ,IIP data, Inflation data, any big news etc

2) See support and resistance

3) See the trend

4) Look at 50 DMA

5) Use stop loss

Medium term trade

This trade is for one week to one month. The trader can buy or sell the stock, index or market for one week to one month time range . See the following before trading

1) See any big event in time range of your call such as RBI policy, IIP data, Inflation data, any big news etc

2) See support and resistance

3) See the trend

4) Look at 200 DMA

5) Use stop loss

Long term trade

This trade is for one month to one three month. The trader can buy or sell the stock, index or market for one month to three month time range .

See the following before trading

1) See any big event in time range of your call such as RBI policy ,IIP data, Inflation data, any big news etc

2) See support and resistance

3) See the trend

4) Look at 200 DMA

5) Use stop loss

CHAPTER 9: Element to consider that effect the market

Political Instability

The good stable government is good for market; if it is unstable the economy of India will not in good shape so as the market

RBI policy and inflation

In economics, inflation is a rise in the general level of prices of goods and services in an economy over a period of time. When the general price level rises, each unit of currency buys fewer goods and services. Consequently, inflation reflects a reduction in the purchasing power per unit of money – a loss of real value in the medium of exchange and unit of account within the economy. A chief measure of price inflation is the inflation rate, the annualized percentage change in a general price index (normally the consumer price index) over time.

Inflation's effects on an economy are various ways and can be simultaneously positive and negative. Negative effects of inflation include an increase in the opportunity cost of holding money, uncertainty over *future inflation which may discourage investment and savings, and if inflation is rapid enough, shortages of goods as consumers begin hoarding out of concern that prices will increase in the future. Positive effects include ensuring that central banks can adjust real interest rates (intended to mitigate recessions)and encouraging investment in non-monetary capital projects.*

Economists generally agree that high rates of inflation and hyperinflation are caused by an excessive growth of the money supply. Views on which factors determine low to moderate rates of inflation are more varied. Low or moderate inflation may be attributed to fluctuations in real demand for goods and services, or changes in available supplies such as during scarcities, as well as to changes in the velocity of money supply measures; in particular the MZM ("Money Zero Maturity") supply velocity.[However, the consensus view is that a long sustained period of inflation is caused by money supply growing faster than the rate of economic growth.

Today, most economists favor a low and steady rate of inflation. Low (as opposed to zero or negative) inflation reduces the severity of economic recessions by enabling the labor market to adjust more quickly in a downturn, and reduces the risk that a liquidity trap prevents monetary policy from stabilizing the economy. The task of keeping the rate of inflation low and stable is usually given to monetary authorities. Generally, these monetary authorities are the central banks that control monetary policy through the setting of interest rates, through open market operations, and through the setting of banking reserve requirement

Policy rates and reserve ratio

Policy rates, Reserve ratios, lending, and deposit rates as of 14, May, 2013
Bank Rate 8.25 %(14/5/2013)

Repo Rate 7.25%

Reverse Repo Rate 6.25%

Cash Reserve Ratio (CRR) 4%

Statutory Liquidity Ratio (SLR) 23.0%

Base Rate 9.75%–10.50%

Reserve Bank Rate 4%

Deposit Rate 8.50%–9.0%

Bank Rate

RBI lends to the commercial banks through its discount window to help the banks meet depositor's demands and reserve requirements for long term.

The Interest rate the RBI charges the banks for this purpose is called bank rate. If the RBI wants to increase the liquidity and money supply in the market, it will decrease the bank rate and if RBI wants to reduce the liquidity and money supply in the system, it will increase the bank rate. As of 1 January 2013, the bank rate was 8.25%.

Reserve requirement cash reserve ratio (CRR)

Every commercial bank has to keep certain minimum cash reserves with RBI. Consequent upon amendment to sub-Section 42(1), the Reserve Bank, having regard to the needs of securing the monetary stability in the country, RBI can prescribe Cash Reserve Ratio (CRR) for scheduled banks without any floor rate or ceiling rate, [Before the enactment of this amendment, in terms of Section 42(1) of the RBI Act, the Reserve Bank could prescribe CRR for scheduled banks between 5% and 20% of total of their demand and time liabilities]. RBI uses this tool to increase or decrease the reserve requirement depending on whether it wants to effect a decrease or an increase in the money supply. An increase in Cash Reserve Ratio (CRR) will make it mandatory on the part of the banks to hold a large proportion of their deposits in the form of deposits with the RBI. This will reduce the size of their deposits and they will lend less. This will in turn decrease the money supply. The current rate is 4.75%. (As a Reduction in CRR by 0.25% as on Date- 17 September 2012). -25 basis points cut in Cash Reserve Ratio(CRR) on 17 September 2012, It will release Rs 17,000 crore into the system/Market. The RBI lowered the CRR by 25 basis points to 4.25% on 30 October 2012, a move it said would inject about 175 billion rupees into the banking system in order to pre-empt potentially tightening liquidity. The latest CRR as on 5/12/13 is 4%

Statutory Liquidity ratio (SLR)

Apart from the CRR, banks are required to maintain liquid assets in the form of gold, cash and approved securities. Higher liquidity ratio forces commercial banks to maintain a larger proportion of their resources in liquid form and thus reduces their capacity to grant loans and advances, thus it is an anti-inflationary impact. A higher liquidity ratio diverts the bank funds from loans and advances to investment in government and approved securities.

In well-developed economies, central banks use open market operations—buying and selling of eligible securities by central bank in the money market—to influence the volume of cash reserves with commercial banks and thus influence the volume of loans and advances they can make to the commercial and industrial sectors. In the open money market, government securities are traded at market related rates of interest. The RBI is resorting more to open market operations in the more recent years.

Generally RBI uses three kinds of selective credit controls:

Minimum margins for lending against specific securities.

Ceiling on the amounts of credit for certain purposes.

Discriminatory rate of interest charged on certain types of advances.

Direct credit controls in India are of three types:

Part of the interest rate structure i.e. on small savings and provident funds, are administratively set.

Banks are mandatory required to keep 23% of their deposits in the form of government securities.

Banks are required to lend to the priority sectors to the extent of 40% of their advances.

Monsoon

Monsoon is one of the important part that effect the market

Agricultural

India, historically an agrarian economy primarily, has recently seen the services sector overtaking the farm sector in terms of GDP contribution. However, even today agriculture sector contributes 17-20% of GDP and is the largest employer in the country with about 60% of people dependent on it for employment and livelihood. The land use pattern of India indicates that 49% of land is under agriculture in India, it is 55% if associated wetlands agriculture, dry land farming areas, etc. are included. Since over *half of these farmlands are rain-fed, Monsoon is critical to the food sufficiency and quality of life for the country. Despite progress in alternative forms of irrigation, agricultural dependency on monsoon is far from insignificant, even today. Therefore, the agricultural calendar of India is governed by Monsoon. Any fluctuations in the time distribution, spatial distribution or quantity of the monsoon rains may lead to conditions of floods or droughts causing the agricultural sector to adversely suffer. This has a cascading effect on the secondary economic sectors, the overall economy, food inflation and therefore the overall quality and cost of living for the general population in India.*

Definition of 'Budget'

An estimation of the revenue and expenses over a specified future period of time. A budget can be made for a person, family, group of people, business, government, country, multinational organization or just about anything else that makes and spends money. A budget is a microeconomic concept that shows the tradeoff made when one good is exchanged for another. Some of the main point to see at the time of budget

a) G.D.P growth

b) Change in taxes

c) New policy on industrial sector

d) The fiscal deficit is the difference between the government's total expenditure and its total receipts (excluding borrowing). The elements of the fiscal deficit are (a) the revenue deficit, which is the difference between the government’s current (or revenue) expenditure and total current receipts (that is, excluding borrowing) and (b) capital expenditure. The fiscal deficit can be financed by borrowing from the Reserve Bank of India (which is also called deficit financing or money creation) and market borrowing (from the money market that is mainly from banks).

CHAPTER 10: Balance Sheet Analyzing

Balance Sheet Basics and Analyzing

Balance Sheet is the snap shot of financial strength of any company at any point of time. It gives the details of the assets and the liabilities of the company. Understanding balance sheet is very important because it gives an idea of the financial strength of the company at any given point of time.

Capital work in progress, sometimes at the end of the financial year, there is some construction or installation going on in the company, which is not complete, such installation is recorded in the books as capital work in progress because it is asset for the business.

If the company has made some investments out of its free cash, it is recorded under the head investments. Inventory is the stock of goods that a company has at any point of time. Receivables include the debtors of the company, i.e., it includes all those accounts which are to give money back to the company. Other current assets include all the assets, which can be converted into cash within a very short period of time like cash in bank etc.

Equity Share capital is the owner's equity. It is the most permanent source of finance for the company. Reserves include the free reserves of the *company which are built out of the genuine profits of the company. Together they are known as net worth of the company.*

Total debt includes the long term and the short debt of the company. Long term is for a longer duration, usually for a period more than 3 years like debentures. Short term debt is for a lesser duration, usually for less than a year like bank finance for working capital.

Creditors are those entities to which the company owes money. Other liabilities and provisions include all the liabilities that do not fall under any of the above heads and various provisions made.

Role of Balance Sheet in Investment Decision making

After analyzing the income statement, move on to the balance sheet and continue your analysis. While the income statement recaps three months' worth of operations, the balance sheet is a snapshot of what the company's finances look like only on the last day of the quarter. (It's much like if you took every statement you received from every financial institution you have dealings with — banks, brokerages, credit card issuers, mortgage banks, etc. — and listed the closing balances of each account.)

When reviewing the balance sheet, keep an eye on inventories and accounts receivable. If inventories are growing too quickly, perhaps some of it is outdated or obsolete. If the accounts receivable are growing faster than sales, then it might indicate a problem, such as lax credit policies or poor internal controls. Finally, take a look at the liability side of the balance *sheet. Look at both long-term and short-term debt. Have they increased? If so, why? How about accounts payable?*

After you've done the numerical analysis, read the comments made by management. They should have addressed anything that looked unusual, such as a large increase in inventory. Management will also usually make some statements about the future prospects of business. These comments are only the opinion of management, so use them as such.

When all is said and done, you'll probably have some new thoughts and ideas on your investments. By all means, write them down. Use your new benchmark as a basis for analyzing your portfolio next time. Spending a few minutes like this each quarter reviewing your holdings can help you stay on track with your investment goals.

What is the difference between secured and unsecured loans

Under Loan Funds?

Secured loans are the borrowings against the security i.e. against

Mortgaging some immovable property or hypothecating/pledging some movable property of the company. This is known as creation of charge, *which safeguards creditors in the event of any default on the part of the company . They are in the form of debentures, loans from financial institutions and loans from commercial banks. Notice that in Unsecured loans are other short term borrowings without a specific security. They are fixed deposits, loans and advances from promoters, inter-corporate Borrowings, and unsecured loans from the banks. Such borrowings amount*

What should one look for in a Profit and Loss account?

For a company, the profit and loss statement is the most important

Document presented to the shareholders. Therefore, each company tries to give maximum stress on its representation/ misrepresentation. One should

Consider the following:

§ Whether there is an overall improvement of sales as well as profits (operating, gross and net) over the similar period (half-yearly or annual) previous year. If so, the company's operational managements good.

§ Check for the other income carefully, for here companies have the scope to manipulate. If the other income stems from dividend on the investments or interest from the loans and advances, it is good, because such income is

steady. But if the other income is derived selling any assets or land, be cautious since such income is not an annual occurrence.

§ Also check for the increase of all expenditure items viz. raw material consumption, manpower cost and manufacturing, administrative and selling expenses. See whether the increases in these costs are more than the increase in sales. If so, it reveals the operating conditions are not conducive to making profits. Similarly, check whether ratio of these costs to sales could be contained over the previous year. If so, then the company's operations are efficient.

§ Evaluate whether the company could make profit from its operations l one. For this you should calculate the profits of the company, after ignoring all other income except sales. If the profit so obtained is positive, the company is operationally profitable, which is a healthy sign.

§ Scrutinize the depreciation as well as interest for any abnormal

increase. The increase in depreciation is attributed to higher addition of fixed assets, which is good for long term operations of the company. High depreciation may suppress the net profits, but it's good for the cash flow. So instead of looking out for the net profits, check the cash profits and compare whether it has risen. High interest cost is always a cause of concern because the increased debt burden cannot be reduced in the short run.

§ Calculate the earnings per share and the various ratios. In case of half yearly results, multiply half yearly earnings per share by 2 to get approximately the annualized earnings per share

CHAPTER 11: Various types of Investment and making your Portfolio

This chapter cover various types investment available in India.

Various types of Investment

Mutual fund and sip

A Systematic Investment Plan (SIP) is a vehicle offered by mutual funds to help investors save regularly. It is just like a recurring deposit with the post office or bank where you put in a small amount every month, except the amount is invested in a mutual fund. The minimum amount to be invested can be as small as INR100 (100 Indian Rupees) and the frequency of investment is usually monthly or quarterly

A SIP means the person commits to investing a fixed amount every month. Let's say it is INR1,000. When the Market price of shares fall, the investor benefits by purchasing more units; and is protected by purchasing less when the price rises. Thus the average cost of units is always closer to the lower end.) { NAV : Net Asset Value, or the price of one unit of a fund. Can be computed as follows : NAV = [market value of all the investments in the *fund + current assets + deposits - liabilities] divided by the number of units outstanding.}*

Date NAV Approx number of units you will get at INR1000

Jan 1 10 100

Feb 1 10.5 95.23

Mar 1 11 90.90

Apr 1 9.5 105.26

May 1 9 111.11

Jun 1 11.5 86.95

Within six months, this is a value of 5,89.45 units by investing just INR1,000 every month.

Over the long run, money can either be gained or lost.

Let's say an investment in a Mutual Fund unit during the dotcom and tech boom.

Say it began with INR1,000 and kept investing INR1,000 every month. This would be the result:

Investment period

Mar 2000 ? Mar 2005

Monthly investment

INR 1,000

Total amount invested

INR 61,000

Value of investment of Mar 7, 2005

INR 1, 09,315

Return on investment

23.87%

Had the units been bought on March 13, 2000 at INR10.88 per unit (the NAV then), the result would be a loss because the NAV was just 7.04 on March 7, 2005. But because of spacing out the investment, it is a gain.

Dead market

1)Bank deposit

Fixed Deposit, also called Term Deposit is an investment where the interest rate is guaranteed not to change for the nominated term, so you know exactly what your investment is worth.

2) Bond

Definition

A debt instrument issued for a period of more than one year with the purpose of raising capital by borrowing. The Federal government, states, cities, corporations, and many other types of institutions sell bonds. Generally, a bond is a promise to repay the principal along with interest (coupons) on a specified date (maturity). Some bonds do not pay interest, but all bonds require a repayment of principal. When an investor buys a bond, he/she becomes a creditor of the issuer. However, the buyer does not gain any kind of ownership rights to the issuer, unlike in the case of equities. On the hand, a bond holder has a greater claim on an issuer's income than a shareholder in the case of financial distress (this is true for all creditors). Bonds are often divided into different categories based on tax status, credit quality, issuer type, maturity and secured/unsecured (and there are several other ways to classify bonds as well). U.S. Treasury bonds are generally considered the safest unsecured bonds, since the possibility of the Treasury defaulting on payments is almost zero. The yield from a bond is made up of three components: coupon interest, capital gains and interest on interest (if a bond pays no coupon interest, the only yield will be capital gains). A bond might be sold at above or below par (the amount paid out at maturity), but the market price will approach par value as the bond approaches maturity. A riskier bond has to provide a higher payout to compensate for that additional risk. Some bonds are tax-exempt, and these are typically issued by municipal, county or state governments, whose interest payments are not subject to federal income tax, and sometimes also state or local income tax.

3) ETF

Definition of 'Exchange-Traded Fund - ETF'

A security that tracks an index, a commodity or a basket of assets like an index fund, but trades like a stock on an exchange. ETFs experience price changes throughout the day as they are bought and sold.

because it trades like a stock, an ETF does not have its net asset value (NAV) calculated every day like a mutual fund does.

By owning an ETF, you get the diversification of an index fund as well as the ability to sell short, buy on margin and purchase as little as one share. Another advantage is that the expense ratios for most ETFs are lower than those of the average mutual fund. When buying and selling ETFs, you have to pay the same commission to your broker that you'd pay on any regular order.

MCX Commodity market

Multi Commodity Exchange of India Ltd (MCX) (BSE: 534091) is an independent commodity exchange based in India. It was established in 2003 and is based in Mumbai. The turnover of the exchange for the fiscal year 2009 was US$ 1.24 trillion, and in terms of contracts traded, it was in 2009 the world's sixth largest commodity exchange.MCX offers futures trading in bullion, ferrous and non-ferrous metals, energy, and a number of *agricultural commodities (menthe oil, cardamom, potatoes, palm oil and others).*

In 2012, MCX has taken the third spot among the global commodity bourses in terms of the number of futures contracts traded. Based on the latest data from Futures Industry Association (FIA), during the period between January and June this year, about 127.8 million futures contracts were traded on MCX.[1]

MCX has also set up in joint venture the MCX Stock Exchange. Earlier spin-offs from the company include the National Spot Exchange, an electronic spot exchange for bullion and agricultural commodities, and National Bulk Handling Corporation (NBHC) India's largest collateral management company which provides bulk storage and handling of agricultural products.

In February 2012, MCX has come out with a public issue of 6,427,378 Equity Shares of Rs. 10 face value in price band of 860 - 1032 Rs. per equity share to raise around $134 million. It is the first ever IPO by an Indian exchange.

It is regulated by the Forward Markets Commission.

1) MCX is India's No. 1 commodity exchange with 83% market share in 2009

2) The exchange's main competitor is National Commodity & Derivatives Exchange Ltd

3) Globally, MCX ranks no. 1 in silver, no. 2 in natural gas, no. 3 in crude oil and gold in futures trading (But actual volume is far behind CME group volume as Silver is traded in 30 kg lots on MCX whereas CME traded in Approx 155 kg Lot size same in Gold 1 kg : 3. kg Approx and Crude 100 Barrels : 1000 Barrels on CME)

4) The highest traded item is gold.

5) MCX has several strategic alliances with leading exchanges across the globe

6) As of early 2010, the normal daily turnover of MCX was about US$ 6 to 8 billion

7) MCX now reaches out to about 800 cities and towns in India with the help of about 126,000 trading terminals

8) MCX COMDEX is India's first and only composite commodity futures price index

METAL

Aluminum, Copper, Lead, Nickel, Steel Long (Bhavnagar), Steel Long (Govindgarh), Steel Flat, Tin, Zinc

Gold, Gold HNI, Gold M, i-gold, Silver, Silver HNI, Silve Micro

FIBER

Cotton L Staple, Cotton M Staple, Cotton S Staple, Cotton Yarn, Kapuas, Jute

ENERGY

Brent Crude Oil, Crude Oil, Furnace Oil, Natural Gas, M. E. Sour Crude Oil, ATF, Electricity(Now delisted), Carbon Credit

SPICES Cardamom, Jeera, Pepper, Red Chili, Turmeric, Cumin Seed, Coriander

PLANTATIONS Areca nut, Cashew Kernel, Coffee (Robusta), Rubber

PULSES

Chana, Masur, Yellow Peas, Tur, Urad HDPE, Polypropylene(PP), PV

OIL & OIL SEEDS

Castor Oil, Castor Seeds, Coconut Cake, Coconut Oil, Cotton Seed, Crude Palm Oil, Groundnut Oil, Kapasia Khalli, Mustard Oil, Mustard Seed (Jaipur), Mustard Seed (Sirsa), RBD Palmolein, Refined Soy Oil, Refined Sunflower Oil, Rice Bran DOC, Rice Bran Refined Oil, Sesame Seed, Soymeal, Soy Bean, Soy Seeds

Maize, Barley, Rice, Sharbati Rice, Basmati Rice, Wheat Guargum, Guar Seed, Gurchaku, Mentha Oil, Potato (Agra), Potato (Tarkeshwar)

In economics, a commodity is a marketable item produced to satisfy wants or needs .Economic commodities comprise goods and services.

The more specific meaning of the term commodity is applied to goods only. It is used to describe a class of goods for which there is demand, but which is supplied without qualitative differentiation across a market .A commodity has full or partial fungibility; that is, the market treats its instances as equivalent or nearly so with no regard to who produced them. "From the taste of wheat it is not possible to tell who produced it, a Russian serf, a French peasant or an English capitalist."Petroleum and copper are other examples of such commodities, their supply and demand being a part of one universal market. Items such as stereo systems, on the other hand, have many aspects of product differentiation, such as the brand, the user *interface and the perceived quality. The demand for one type of stereo may be much larger than demand for another.*

In contrast, one of the characteristics of a commodity good is that its price is determined as a function of its market as a whole. Well-established physical commodities have actively traded spot and derivative markets. Generally, these are basic resources and agricultural products such as iron ore, crude oil, coal, salt, sugar, tea, coffee beans, soybeans, aluminum, copper, rice, wheat, gold, silver, palladium, and platinum. Soft commodities are goods that are grown, while hard commodities are the ones that are extracted through mining.

There is another important class of energy commodities which includes electricity, gas, coal and oil. Electricity has the particular characteristic that it is usually uneconomical to store; hence, electricity must be consumed as soon as it is produced.

Inventory data

The inventory of commodities, with low inventories typically leading to more volatile future prices and increasing the risk of a "stock out" (inventory exhaustion). According to economist theorists, companies receive a convenience yield by holding inventories of certain commodities. Data on inventories of commodities are not available from one common source, although data is available from various sources. Inventory data on 31 commodities was used in a 2006 study on the relationship between inventories and commodity futures risk premiums.

using this market you can buy gold ,silver ,crude oil, etc in demat form not in physical form for example you can buy gold in form demat a s one unit is = 1 gram of gold so by taking the risk of physical you can buy the safe mode .As the price of gold goes up your unit nav of the gold in demat form also go up equal to marmet price same in form of silver, steel etc

Gold

Gold is the oldest precious metal known to man and for thousands of years it has been valued as a global currency, a commodity, an investment and simply an object of beauty.

Introduction

Gold (Chemical Symbol-Au) is primarily a monetary asset and partly a commodity.

Gold is the world's oldest international currency.

Gold is an important element of global monetary reserves.

With regard to the investment value, more than two-thirds of gold total accumulated holdings is with central banks' reserves, private players, and held in the form of jeweler.

Less than one-third of gold's total accumulated holdings are used as "commodity" for jewelers in the western markets and industry.

Demand and Supply

World investment amounted to 1614 MT in 2012, broadly flat year-on-year, but the approximate value of this demand reached a new record of almost $87 billion.

Major drivers of this strong investment included further monetary loosening in the developed world, continued sovereign debt crisis, rising longer-term inflation fears and in key markets, negative real interest rates coupled with limited attractive risk-free investment alternatives to gold.

In 2012, the gold mine production increased by 12 MT to 2848 MT and the combined demand for bars & coins dropped from 1515 MT to 1256 MT.

Global Scenario

London is the world's biggest clearing house.

Mumbai is under India's liberalized gold regime.

New York is the home of gold futures trading.

Zurich is a physical turntable.

Istanbul, Dubai, Singapore, and Hong Kong are doorways to important consuming regions.

Tokyo, where TOCOM sets the mood of Japan.

Indian Scenario

India, world’s largest market for gold jewelers and a key driver of the global gold demand.

The domestic drivers of gold demand are largely independent of outside forces. Indian households hold the largest stock of gold in the world.

Two thirds of the Indian demand for gold comes from the rural parts of the country.

In 2012, gold's role as an inflation hedge bolstered its appeal in India. India imported around 850 metric tone (MT) of gold in 2012.

Factors Influencing the Market

Above ground supply of gold from central bank's sale, reclaimed scrap, and official gold loans.

Hedging interest of producers/miners.

World micro economic factors such as the US Dollar, interest rate and economic events.

Commodity specific events such as the construction of new production facilities or processes, unexpected mine or plant closures, or industry restructuring.

In India, gold demand is also determined to a large extent by its price level and volatility.

Introduction

Silver (Chemical symbol-Ag) is a brilliant grey-white metal that is soft and malleable.

Silver's unique properties include its strength, malleability, ductility, electrical and thermal conductivity, sensitivity, high reflectance of light, and reactivity.

The main source of silver is lead ore, although it can also be found associated with copper, zinc and gold and produced as a by-product of base metal mining activities.

Secondary silver sources include coin melt, scrap recovery, and dis-hoarding from countries where export is restricted. Secondary sources are price sensitive.

Demand and Supply

In 2011, the worldwide silver fabrication demand was 876.6 million ounces (Moz)—down by 1.5% from the value in 2010, but still reaching its second highest level since 2000.

Globally, in 2011, the physical silver bar investment grew by 67% to 95.7 Moz, while fabrication of coins and medals rose by almost 19% to an all-time high of 118.2 Moz.

In 2011, silverware off take dropped by 10.2% to 46.0 Moz from the previous year, as a result of lower demand in India. Higher prices coupled with ongoing structural decline in the western markets caused a fall in the Indian silverware demand. Part of this fall was offset by some gains in China.

The world silver mine production increased by 1.4% to a new record level of 761.6 Moz in 2011, as compared with the previous year.

In 2011, scrap supply rose by 12% over the previous fiscal to a second straight record of 256.7 Moz, driven by gains in jeweler and silverware recycling on higher prices.

Government sales fell by a massive 74 per cent to a 14-year low of 11.5 Moz in 2011.The drastic decline was entirely due to a collapse in sales from Russia, where disposals dropped by nearly 90%.

Notable production losses were observed in Australia, Peru, the United States and Turkey in 2011, amounting to 20.3 Moz.

Global Scenario

Silver is predominantly traded on the London Bullion Market Association (LBMA) and COMEX in New York.

LBMA, the global hub of over-the-counter (OTC) trading in silver, is the metal's main physical market. Comex is a futures and options exchange, where most funds' activities are focused.

Silver is invariably quoted in US Dollars per troy ounce.

Indian Scenario

The average annual demand for silver in India is about 2500 Metric tonnes (MT) per year. In 2011, the country's production was around 342.13 MT.

Nearly 60% of India's silver demand comes from farmers and rural India, who store their savings in the form of silver bangles and coins.

Factors Influencing the Market

Economic events such as India's industrial growth, the global financial crisis, recession and inflation affect metal prices.

Commodity-specific events such as the construction of new production facilities or processes, unexpected mine or plant closures, or industry restructuring affect the market.

Governments set trade policy (implementation or suspension of taxes, penalties, and quotas) that affect supply by regulating (restricting or encouraging) the material flow.

Geopolitical events involving governments or economic paradigms and armed conflict can cause major changes.

A faster growth in demand against supply often leads to a drop in stocks with the government and investors.

Silver demand is underpinned by the demand from jewelers and silverware, industrial applications, and overall industrial growth.

In India, the real industrial demand occupies a small share in the total industrial demand for silver. This is in sharp contrast to most developed economies.

In India, silver demand is also determined to a large extent by its price level and volatility.

Brent Crude Oil

General Characteristics

Brent crude oil is a light sweet crude oil from North Sea.

It has API (American Petroleum Institute) gravity between 38-39 and has higher sulphur content than the other well-known benchmark, WTI crude oil.

Brent crude oil is a global benchmark for other grades and is widely used to determine crude oil prices in Europe and in other parts of the world.

Brent is typically refined in Northwest Europe, but a major portion is been exported to the US Gulf and East Coasts, and also to parts of Mediterranean.

It is more expensive than the Organization of Petroleum Exporting Countries (OPEC) basket, but lesser than West Texas Intermediate (WTI) because of higher sulphur content than the WTI crude.

Categories of Brent Crude oil

West Texas Intermediate (WTI) crude oil is of very high quality. Its API gravity is 39.6 degrees (making it a "light" crude oil), and it contains only about 0.24 percent of sulphur (making a "sweet" crude oil). WTI is generally priced at about a $2-4 per-barrel premium to OPEC Basket price and about $1-2 per barrel premium to Brent, although on a daily basis the pricing relationships between these can vary greatly.

Brent Crude Oil stands as a benchmark for Europe.

India is very much reliant on oil from the Middle East (High Sulphur). The OPEC has identified China & India as their main buyers of oil in Asia for several years to come.

Crude Oil Units (average gravity)

1 US barrel = 42 US gallons.

1 US barrel = 158.98 litres.

1 tonne = 7.33 barrels .

1 short ton = 6.65 barrels .

Note: barrels per tonne vary from origin to origin.

Global Scenario

Oil accounts for 40 per cent of the world's total energy demand.

The world consumes about 76 million bbl/day of oil.

United States (20 million bbl/d), followed by China (5.6 million bbl/d) and Japan (5.4 million bbl/d) are the top oil consuming countries.

Balance recoverable reserve was estimated at about 142.7 billion tones (in 2002), of which OPEC was 112 billion tones.

OPEC

OPEC stands for 'Organization of Petroleum Exporting Countries'. It is an organization of eleven developing countries that are heavily dependent on oil revenues as their main source of income. The current Members are Algeria, Indonesia, Iran, Iraq, Kuwait, Libya, Nigeria, Qatar, Saudi Arabia, the United Arab Emirates and Venezuela.

OPEC controls almost 40 percent of the world's crude oil.

It accounts for about 75 per cent of the world's proven oil reserves.

Its exports represent 55 per cent of the oil traded internationally.

Indian Scenario

India ranks among the top 10 largest oil-consuming countries.

Oil accounts for about 30 per cent of India's total energy consumption. The country's total oil consumption is about 2.2 million barrels per day. India imports about 70 per cent of its total oil consumption and it makes no exports.

India faces a large supply deficit, as domestic oil production is unlikely to keep pace with demand. India's rough production was only 0.8 million barrels per day.

The oil reserves of the country (about 5.4 billion barrels) are located primarily in Mumbai High, Upper Assam, Cambay, Krishna-Godavari and Cauvery basins.

Balance recoverable reserve was about 733 million tons (in 2003) of which offshore was 394 million tones and on shore was 339 million tones.

India had a total of 2.1 million barrels per day in refining capacity.

Government has permitted foreign participation in oil exploration, an activity restricted earlier to state owned entities.

Indian government in 2002 officially ended the Administered Pricing Mechanism (APM). Now crude price is having a high correlation with the international market price. As on date, even the prices of crude bi-products are allowed to vary +/- 10% keeping in line with international crude price, subject to certain government laid down norms/ formulae.

Disinvestment/restructuring of public sector units and complete deregulation of Indian retail petroleum products sector is under way.

Prevailing Duties & Levies on Crude Oil

Particulars Rates

Basic Customs Duty 10%

Cess Rs.1800 per metric tone

NCCD Rs.50 per metric tone*

Education cess 2%

Octroi 3%

War fedge Rs.57 per metric tone

Market Influencing Factors

OPEC output and supply .

Terrorism, Weather/storms, War and any other unforeseen geopolitical factors that causes supply disruptions.

Global demand particularly from emerging nations.

Dollar fluctuations.

DOE / API imports and stocks.

Refinery fires & funds buying.

Exchanges dealing in Crude Futures

The New York Mercantile Exchange (NYMEX) .

The International Petroleum Exchange of London (IPE).

The Tokyo Commodity Exchange (TOCOM).

Natural Gas

Introduction

Natural gas is a vital component of the world's supply of energy. It is one of the cleanest, safest, and most useful of all energy sources.

Natural gas is a combustible mixture of hydrocarbon gases. While natural gas is formed primarily of methane, it can also include ethane, propane, butane and pentane.

Natural gas is likely to play a greater role in the world energy mix given its growing resource base and its relatively low carbon emissions compared to other fossil fuels.

Natural gas, when compressed at a pressure of 250 bars, is termed as compressed natural gas (CNG).

Global Scenario

The world's natural gas reserves are estimated to be 7,360.9 trillion cubic feet (tcf). The Middle East holds 38.4% of the world's reserves, while an additional 21.4% is located in the former Soviet Union, with only 9% held in the OECD countries.

In 2011, the global natural gas production was 3,276.2 billion cubic metre (bcm), up 3.1% from 3,178.2 bcm in 2010, and consumption was 3,222.9 *bcm, compared with 3,153.1 bcm in the previous year.*

The US, Russia and Canada are the largest natural gas producing countries, while the US, Russia and Iran are the largest natural gas consuming countries in the world.

Indian Scenario

The balance recoverable natural gas reserves in the country is 1240.9 bcm, which accounts for only 0.6% of the world's total natural gas reserves.

The share of natural gas in the country's primary energy mix decreased to 9.8% in 2011 from11% in 2010.

However, this share is quite low compared to the global average (24%), primarily due to the supply-side constraints.

The natural gas (including CBM) production in 2011 was 46.1 bcm, which is 12.8% higher than the actual production of 50.8 bcm in 2010.

India's consumption of natural gas was around 61.1 bcm in 2011, which accounts for only 1.9% of the world natural gas market.

As India does not have any pipeline connection, all the gas currently imported is LNG. India's current operational LNG import capacity is 18 bcm.

Price Moving Factors

Natural Gas inventory data

The US weather conditions and active hurricane season poses a threat to the US Gulf coast's

natural gas production

Price of crude oil

Industrial and Residential demand in the US

Stock market

As see in above chapters

Forex market

The foreign exchange market (forex, FX, or currency market) is a global decentralized market for the trading of currencies. The main participants in this market are the larger international banks. Financial centers around the world function as anchors of trading between a wide range of different types of buyers and sellers around the clock, with the exception of weekends. Electronic Broking Services (EBS) and Reuters 3000 Xtra are two main interbank FX trading platforms. The foreign exchange market determines the relative values of different currencies.[1]

The foreign exchange market works through financial institutions, and it operates on several levels. Behind the scenes banks turn to a smaller number of financial firms known as "dealers," who are actively involved in large quantities of foreign exchange trading. Most foreign exchange dealers are banks, so this behind-the-scenes market is sometimes called the "interbank market", although a few insurance companies and other kinds of financial firms are involved. Trades between foreign exchange dealers can be very large, involving hundreds of millions of dollars.[citation needed] Because of the sovereignty issue when involving two currencies, Forex has little (if any) supervisory entity regulating its actions.

Steps To Building A Profitable Portfolio

In today's financial marketplace, a well-maintained portfolio is vital to any investor's success. As an individual investor, you need to know how to determine an asset allocation that best conforms to your personal investment goals and strategies. In other words, your portfolio should meet your future needs for capital and give you peace of mind. Investors can construct portfolios aligned to their goals and investment strategies by following a systematic approach. Here we go over some essential steps for taking such an approach.

Step 1: Determining the Appropriate Asset Allocation for You

Ascertaining your individual financial situation and investment goals is the first task in constructing a portfolio. Important items to consider are age, how much time you have to grow your investments, as well as amount of capital to invest and future capital needs. A single college graduate just beginning his or her career and a 55-year-old married person expecting to help pay for a child's college education and plans to retire soon will have very different investment strategies.

A second factor to take into account is your personality and risk tolerance. Are you the kind of person who is willing to risk some money for the possibility of greater returns? Everyone would like to reap high returns year after year, but if you are unable to sleep at night when your investments take a short-term drop, chances are the high returns from those kinds of assets are not worth the stress.

As you can see, clarifying your current situation and your future needs for capital, as well as your risk tolerance, will determine how your investments *should be allocated among different asset classes. The possibility of greater returns comes at the expense of greater risk of losses (a principle known as the risk/return tradeoff) - you don't want to eliminate risk so much as optimize it for your unique condition and style. For example, the young person who won't have to depend on his or her investments for income can afford to take greater risks in the quest for high returns. On the other hand, the person*

retirement needs to focus on protecting his or her assets and drawing income from these assets in a tax-efficient manner.

Conservative Vs. Aggressive Investors

Generally, the more risk you can bear, the more aggressive your portfolio will be, devoting a larger portion to equities and less to bonds and other fixed-income securities. Conversely, the less risk that's appropriate, the more conservative your portfolio will be. Here are two examples: one suitable for a conservative investor and another for the moderately aggressive investor.

Conservative portfolio

The main goal of a conservative portfolio is to protect its value. The allocation shown above would yield current income from the bonds, and would also provide some long-term capital growth potential from the investment in high-quality equities.

Moderately aggressive portfolio

A moderately aggressive portfolio satisfies an average risk tolerance, attracting those willing to accept more risk in their portfolios in order to achieve a balance of capital growth and income.

Step 2:

Achieving the Portfolio Designed in Step 1

Once you've determined the right asset allocation, you simply need to divide your capital between the appropriate asset classes. On a basic level, this is not difficult: equities are equities, and bonds are bonds.

But you can further break down the different asset classes into subclasses, which also have different risks and potential returns. For example, an investor might divide the equity portion between different sectors and market caps, and between domestic and foreign stock. The FD and bond portion might be allocated between those that are short term and long term, government versus corporate debt and so forth.

There are several ways you can go about choosing the assets and securities to fulfill your asset allocation strategy

Stock Picking - Choose stocks that satisfy the level of risk you want to carry in the equity portion of your portfolio - sector, market cap and stock type are factors to consider. Analyze the companies using stock screeners to shortlist potential picks, than carry out more in-depth analyses on each potential purchase to determine its opportunities and risks going forward. This is the most work-intensive means of adding securities to your portfolio, and requires you to regularly monitor price changes in your holdings and stay current on company and industry news.

Bond Picking - When choosing bonds, there are several factors to consider including the coupon, maturity, the bond type and rating, as well as the general interest rate environment.

Mutual Funds - Mutual funds are available for a wide range of asset classes and allow you to hold stocks and bonds that are professionally researched and picked by fund managers. Of course, fund managers charge a fee for their services, which will detract from your returns. Index funds present another choice; they tend to have lower fees because they mirror an established index and are thus passively managed.

Step 3: Reassessing Portfolio Weightings

Once you have an established portfolio, you need to analyze and rebalance it periodically because market movements may cause your initial weightings to change. To assess your portfolio's actual asset allocation, quantitatively categorize the investments and determine their values' proportion to the whole.

The other factors that are likely to change over time are your current financial situation, future needs and risk tolerance. If these things change, you may need to adjust your portfolio accordingly. If your risk tolerance has dropped, you may need to reduce the amount of equities held. Or perhaps you're now ready to take on greater risk and your asset allocation requires that a small proportion of your assets be held in riskier small-cap stocks.

Essentially, to rebalance, you need to determine which of your positions are over weighted and underweighted. For example, say you are holding 30% of your current assets in small-cap equities, while your asset allocation suggests you should only have 15% of your assets in that class. Rebalancing involves determining how much of this position you need to reduce and allocate to other classes.

Step 4: Rebalancing Strategically

Once you have determined which securities you need to reduce and by how much, decide which underweighted securities you will buy with the proceeds from selling the over weighted securities. To choose your securities, use the approaches discussed in Step 2.

When selling assets to re balance your portfolio, take a moment to consider the tax implications of readjusting your portfolio. Perhaps your investment in growth stocks has appreciated strongly over the past year, but if you were to sell all of your equity positions to rebalance your portfolio, you may incur significant capital gains taxes. In this case, it might be more *beneficial to simply not contribute any new funds to that asset class in the future while continuing to contribute to other asset classes. This will reduce your growth stocks' weighting in your portfolio over time without incurring capital gains taxes.*

At the same time, always consider the outlook of your securities. If you suspect that those same over weighted growth stocks are ominously ready to fall, you may want to sell in spite of the tax implications. Analyst opinions and research reports can be useful tools to help gauge the outlook for your holdings. And tax-loss selling is a strategy you can apply to reduce tax implications.

Remember the Importance of Diversification.

Throughout the entire portfolio construction process, it is vital that you remember to maintain your diversification above all else. It is not enough simply to own securities from each asset class; you must also diversify within each class. Ensure that your holdings within a given asset class are spread across an array of subclasses and industry sectors.

The Bottom Line

Overall, a well-diversified portfolio is your best bet for consistent long-term growth of your investments. It protects your assets from the risks of large declines and structural changes in the economy over time. Monitor the diversification of your portfolio, making adjustments when necessary, and you will greatly increase your chances of long-term financial success.

you can add other class also such as gold ,silver etc

What are the advantages of having a diversified portfolio?

A good investment portfolio is a mix of a wide range of asset class. Different securities perform differently at any point in time, so with a mix of asset types, your entire portfolio does not suffer the impact of a decline of any one security. When your stocks go down, you may still have the stability of the bonds in your portfolio. There have been all sorts of academic studies and formulas that demonstrate why diversification is important, but it's really just the simple practice of "not putting all your eggs in one basket." If you spread your investments across various types of assets and markets, you'll reduce the risk of your entire portfolio getting affected by the adverse return.

CHAPTER 12: REGULATOR AND DEPOSITORY

Why does Securities Market need Regulators?

The absence of conditions of perfect competition in the securities market makes the role of the Regulator extremely important. The regulator ensures that the market participants behave in a desired manner so that securities market continues to be a major source of finance for corporate and government and the interest of investors are protected.

Who regulates the Securities Market?

The responsibility for regulating the securities market is shared by

Department of Economic Affairs (DEA), Department of Company Affairs (DCA), Reserve Bank of India (RBI) and Securities and Exchange Board of India (SEBI).

What is SEBI and what is its role?

The Securities and Exchange Board of India (SEBI) is the regulatory

Authority in India established under Section 3 of SEBI Act, 1992. SEBI Act, 1992 provides for establishment of Securities and Exchange Board of India (SEBI) with statutory powers for (a) protecting the interests of investors in Securities (b) promoting the development of the securities market and (c)

Regulating the securities market. Its regulatory jurisdiction extends over corporate in the issuance of capital and transfer of securities, in addition to all intermediary rise and persons associated with securities market. SEBI has been obligated to perform the aforesaid functions by such measures as it thinks fit. In particular, it has powers for:

§ Regulating the business in stock exchanges and any other securities

markets

§ Registering and regulating the working of stock brokers, sub–brokers etc.

§ Promoting and regulating self-regulatory organizations

§ Prohibiting fraudulent and unfair trade practices

§ Calling for information from, undertaking inspection, conducting

Inquiries and audits of the stock exchanges, intermediaries, self – Regulatory organizations, mutual funds and other persons associated with the securities market.

What is the role of a 'Registrar' to an issue?

The Registrar finalizes the list of eligible allotters after deleting the invalid applications and ensures that the corporate action for crediting of shares to the demat accounts of the applicants is done and the dispatch of refund orders to those applicable are sent. The Lead Manager coordinates with the Registrar to ensure follow up so that that the flow of applications from collecting bank branches, processing of the applications and other matters till the basis of allotment is finalized, dispatch security certificates and refund orders completed and securities listed.

DEPOSITORY

How is a depository similar to a bank?

A Depository can be compared with a bank, which holds the funds for depositors. An analogy between a bank and a depository may be drawn as

follows:

BANK DEPOSITORY

Holds funds in an account

Hold securities in an account

Transfers funds between

accounts on the instruction of

the account holder

DEPOSITORY

Hold securities in an account

Transfers securities between

accounts on the instruction of the

account holder.

Which are the depositories in India?

There are two depositories in India which provide dematerialization of securities. The National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL).

What are the benefits of participation in a depository?

The benefits of participation in a depository are:

§ Immediate transfer of securities

§ No stamp duty on transfer of securities

§ Elimination of risks associated with physical certificates such as bad delivery, fake securities, etc.

§ Reduction in paperwork involved in transfer of securities

§ Reduction in transaction cost 45

§ Ease of nomination facility

§ Change in address recorded with DP gets registered electronically

with all companies in which investor holds securities eliminating the *need to correspond with each of them separately*

§ Transmission of securities is done directly by the DP eliminating

correspondence with companies

§ Convenient method of consolidation of folios/accounts

§ Holding investments in equity, debt instruments and Government

securities in a single account; automatic credit into demat account, of shares, arising out of split/consolidation/merger etc.

Who is a Depository Participant (DP)?

The Depository provides its services to investors through its agents called depository participants (DPs). These agents are appointed by the depository with the approval of SEBI. According to SEBI regulations, amongst others, three categories of entities, i.e. Banks, Financial

Institutions and SEBI registered trading members can become DPs. Does one need to keep any minimum balance of securities in

His account with his DP?

No. The depository has not prescribed any minimum balance. You can have zero balance in your account.

What is an ISIN?

ISIN (International Securities Identification Number) is a unique

identification number for a security.

What is a Custodian?

A Custodian is basically an organization, which helps register and safeguard the securities of its clients. Besides safeguarding securities, a *custodian also keeps track of corporate actions on behalf of its clients: 46*

§ Maintaining a client's securities account

§ Collecting the benefits or rights accruing to the client in respect of

Securities

§ Keeping the client informed of the actions taken or to be taken by the issue of securities, having a bearing on the benefits or rights accruing to the client.

How can one convert physical holding into electronic holding

How can one dematerialize securities?

In order to dematerialize physical securities one has to fill in a Demat Request Form (DRF) which is available with the DP and submit the same along with physical certificates one wishes to dematerialize. Separate DRF has to be filled for each ISIN number.

Can odd lot shares be dematerialized?

Yes, odd lot share certificates can also be dematerialized.

Do dematerialized shares have distinctive numbers?

Dematerialized shares do not have any distinctive numbers. These shares are fungible, which means that all the holdings of a particular security will be identical and interchangeable

Can electronic holdings be converted into PhysicalCertificates?

Yes. The process is called Dematerialization. If one wishes to get back your securities in the physical form one has to fill in the Demat Request Form (RRF) and request your DP for rematerialization of the balances in your securities account.

Can one dematerialize his debt instruments, mutual fund units, government securities in his demat account?Yes. You can dematerialize and hold all such investments in a single demat account.

CHAPTER NO 13 Mutual fund basic

As you probably know, mutual funds have become extremely popular over the last 20 years. What was once just another obscure financial instrument is now a part of our daily lives. More than 8 million people, of the households in INDIA invest in mutual funds. That means that, in the INDIA alone, billion of Rupee are invested in mutual funds.

Mutual Funds: What Are They?

A mutual fund is nothing more than a collection of stocks and/or bonds. You can think of a mutual fund as a company that brings together a group of people and invests their money in stocks, bonds, and other securities. Each investor owns shares, which represent a portion of the holdings of the fund.

A mutual fund is a type of professionally managed investment fund that pools money from many investors to purchase securities. While there is no legal definition of the term "mutual fund", it is most commonly applied only to those collective investment vehicles that are regulated and sold to the general public. They are sometimes referred to as "investment companies" or "registered investment companies". Hedge funds are not mutual funds, primarily because they cannot be sold to the general public.

Mutual funds have both advantages and disadvantages compared to direct investing in individual securities. Today they play an important role in household finances, most notably in retirement planning.

Advantages of Mutual Fund

1. Professional Management –

The primary advantage of funds is the professional management of your money. Investors purchase funds because they do not have the time or the expertise to mana•

2. Simplicity –

Buying a mutual fund is easy! Pretty well any bank has its own line of mutual funds, and the minimum investment is small. Most companies also have automatic purchase plans whereby as little as $100 can be invested on a monthly basis. Get their own portfolios. A mutual fund is a relatively inexpensive way for a small investor to get a full-time manager to make and monitor investments.

3. Economies of Scale –

Because a mutual fund buys and sells large amounts of securities at a time, its transaction costs are lower than what an individual would pay for securities transactions.

There are three types of mutual funds—open-end funds, unit investment trusts, and closed-end funds. The most common type, open-end funds, must be willing to buy back shares from investors every business day. Exchange-traded funds (ETFs) are open-end funds or unit investment trusts that trade on an exchange. Non-exchange traded open-end funds are most common, but ETFs have been gaining in popularity. Mutual funds are generally classified by their principal investments. The four main categories of funds are money market funds, bond or fixed income funds, stock or equity funds, and hybrid funds. Funds may also be categorized as index (or passively managed) or actively managed

You can make money from a mutual fund in three ways:

1) Income is earned from dividends on stocks and interest on bonds. A fund pays out nearly all of the income it receives over the year to fund owners in the form of a distribution.

2) If the fund sells securities that have increased in price, the fund has a capital gain. Most funds also pass on these gains to investors in a distribution

.

3) If fund holdings increase in price but are not sold by the fund manager, the fund's shares increase in price. You can then sell your mutual fund shares for a profit.

4. Diversification –

By owning shares in a mutual fund instead of owning individual stocks or bonds, your risk is spread out. The idea behind diversification is to invest in a large number of assets so that a loss in any particular investment is minimized by gains in others. In other words, the more stocks and bonds you own, the less any one of them can hurt you (think about Enron). Large mutual funds typically own hundreds of different stocks in many different industries. It wouldn't be possible for an investor to build this kind of a portfolio with a small amount of money

.Mutual funds have disadvantages as well, which include

Fees

Less control over timing of recognition of gains

Less predictable income

No opportunity to customize

• Taxes - When a fund manager sells a security, a capital-gains tax is triggered. Investors who are concerned about the impact of taxes need to keep those concerns in mind when investing in mutual funds. Taxes can be mitigated by investing in tax-sensitive funds or by holding non-tax sensitive mutual fund in a tax-deferred account.

Types of mutual funds

It's important to understand that each mutual fund has different risks and rewards. In general, the higher the potential return, the higher the risk of *loss. Although some funds are less risky than others, all funds have some level of risk - it's never possible to diversify away all risk. This is a fact for all investments.*

Each fund has a predetermined investment objective that tailors the fund's assets, regions of investments and investment strategies. At the fundamental level, there are three varieties of mutual funds:

Equity fund

Fix income fund

Market fund

All mutual funds are variations of these three asset classes. For example, while equity funds that invest in fast-growing companies are known as growth funds, equity funds that invest only in companies of the same sector or region are known as specialty funds.

Money market fund

The money market consists of short-term debt instruments, mostly Treasury bills. This is a safe place to park your money. You won't get great returns, but you won't have to worry about losing your principal. A typical return is twice the amount you would earn in a regular checking/savings account and a little less than the average certificate of deposit (CD).

Bond fund

Funds are named appropriately: their purpose is to provide current income on a steady basis. When referring to mutual funds, the terms "fixed-income," "bond," and "income" are synonymous. These terms denote funds that invest primarily in government and corporate debt. While fund holdings may appreciate in value, the primary objective of these funds is to provide a steady cashflow to investors. As such, the audience for these funds consists of conservative investors and retirees.

Balance fund

The objective of these funds is to provide a balanced mixture of safety, income and capital appreciation. The strategy of balanced funds is to invest in a combination of fixed income and equities. A typical balanced fund might have a weighting of 60% equity and 40% fixed income. The weighting might also be restricted to a specified maximum or minimum for each asset class.

Equity fund

Funds that invest in stocks represent the largest category of mutual funds. Generally, the investment objective of this class of funds is long-term capital growth with some income. There are, however, many different types of equity funds because there are many different types of equities. A great way to understand the universe of equity funds is to use a style box, an example of which is below.

The idea is to classify funds based on both the size of the companies invested in and the investment style of the manager. The term value refers to a style of investing that looks for high quality companies that are out of favour with the market. These companies are characterized by low P/E and price-to-book ratios and high dividend yields. The opposite of value is growth, which refers to companies that have had (and are expected to continue to have) strong growth in earnings, sales and cash flow. A compromise between value and growth is blend, which simply refers to companies that are neither value nor growth stocks nor are classic

Approximate market capitalizations in parentheses:

Micro cap

Small cap

Mid cap

Large cap

For example, a mutual fund that invests in large-cap companies that are in strong financial shape but have recently seen their share prices fall would be placed in the upper left quadrant of the style box (large and value). The opposite of this would be a fund that invests in start-up technology companies with excellent growth prospects. Such a mutual fund would reside in the bottom right quadrant (small and growth).

Global/International Funds

An international fund (or foreign fund) invests only outside your home country. Global funds invest anywhere around the world, including your home country.

It's tough to classify these funds as either riskier or safer than domestic investments. They do tend to be more volatile and have unique country and/or political risks. But, on the flip side, they can, as part of a well-balanced portfolio, actually reduce risk by increasing diversification. Although the world's economies are becoming more inter-related, it is likely that another economy somewhere is outperforming the economy of your home country. The last but certainly not the least important are

Index fund

Index funds. This type of mutual fund replicates the performance of a broad market index such as the nifty 50 index. An investor in an index fund figures that most managers can't beat the market. An index fund merely replicates the market return and benefits investors in the form of low fees.

Hybrid fund

Funds invest in both bonds and stocks or in convertible securities. Balanced funds, asset allocation funds, target date or target risk funds and lifecycle or lifestyle funds are all types of hybrid funds. Hybrid funds may be *structured as funds of funds, meaning that they invest by buying shares in other mutual funds that invest in securities. Many fund of funds invest in affiliated funds (meaning mutual funds managed by the same fund sponsor), although some invest in unaffiliated funds (i.e., managed by other fund sponsors) or some combination of the two.*

SIP

Dreams can only be achieved if you work towards them. Even building wealth is no different. A Systematic Investment Plan (SIP) helps you do just that. With SIP, you can invest a fixed amount in mutual funds step-by-step monthly or quarterly over a period of time, thereby averaging out your cost of investing and benefiting from the power of compounding. The power of compounding works best as you stay invested helping your money earn money over the years. After all, it is the time in the market and not timing the market that helps you create wealth for your dreams in life. So, dream more and achieve much more. Start investing through a SIP today and work towards achieving your dreams.

HOW IT WORKS

SIP is a method of investing a fixed sum, regularly, in a mutual fund scheme. SIP allows one to buy units on a given date each month, so that one can implement a saving plan for themselves. The biggest advantage of SIP is that one need not time the market. In timing the market, one can miss the *larger rally and may stay out while markets were doing well or may enter at a wrong time when either valuation have peaked or markets are on the verge of declining. Rather than timing the market, investing every month will ensure that one is invested at the high and the low, and make the best out of an opportunity that could be tough to predict in advance.*

Rupee-Cost Averaging

With volatile, most investors remain skeptical about the best time to invest and try to 'time' their entry into the market. Rupee-cost averaging allows you to opt out of the guessing game. Since you are a regular investor, your money fetches more units when the price is low and lesser when the price is high. During volatile period, it may allow you to achieve a lower average cost per unit.

Power of Compounding

Albert Einstein once said, "Compound interest is the eighth wonder of the world. He who understands it, earns it... he who doesn't... pays it." The rule for compounding is simple - the sooner you start investing, the more time your money has to grow.

Example

if you started investing Rs. 10000 a month on your 40th birthday, in 20 years' time you would have put aside Rs. 24 lakhs. If that investment grew by an average of 7% a year, it would be worth Rs. 52.4 lakhs when you reach 60.

However, if you started investing 10 years earlier, your Rs. 10000 each month would add up to Rs. 36 lakh over 30 years. Assuming the same *average annual growth of 7%, you would have Rs. 1.22 Cr on your 60th birthday - more than double the amount you would have received if you had started ten years later!*

Other Benefits of Systematic Investment Plans

· Disciplined Saving - Discipline is the key to successful investments. When you invest through SIP, you commit yourself to save regularly. Every investment is a step towards attaining your financial objectives.

· Flexibility - While it is advisable to continue SIP investments with a long-term perspective, there is no compulsion. Investors can discontinue the plan at any time. One can also increase/ decrease the amount being invested.

· Long-Term Gains - Due to rupee-cost averaging and the power of compounding SIPs have the potential to deliver attractive returns over a long investment horizon.

· Convenience - SIP is a hassle-free mode of investment. You can issue a standing instruction to your bank to facilitate auto-debits from your bank account.

SIPs have proved to be an ideal mode of investment for retail investors who do not have the resources to pursue active investments.

Contact Us [through the Query form in right hand side] to learn more about Systematic Investment Plans and to start saving today!

Mutual Fund Costs

Costs are the biggest problem with mutual funds. These costs eat into your return, and they are the main reason why the majority of funds end up with sub-par performance.

What's even more disturbing is the way the fund industry hides costs through a layer of financial complexity and jargon. Some critics of the industry say that mutual fund companies get away with the fees they charge only because the average investor does not understand what he/she is paying for.

Fees can be broken down into two categories:

1. Ongoing yearly fees to keep you invested in the fund.

2. Transaction fees paid when you buy or sell shares in a fund (loads)

The Expense Ratio

The ongoing expenses of a mutual fund is represented by the expense ratio. This is sometimes also referred to as the management expense ratio (MER). The expense ratio is composed of the following:

The cost of hiring the fund manager(s) - Also known as the management fee, this cost is between 0.5% and 1% of assets on average. While it sounds small, this fee ensures that mutual fund managers remain in the country's top echelon of earners. Think about it for a second: 1% of 250 million (a small mutual fund) is $2.5 million - fund managers are definitely not going *hungry! It's true that paying managers is a necessary fee, but don't think that a high fee assures superior performance.*

Administrative costs –

These include necessities such as postage, record keeping, customer service, cappuccino machines, etc. Some funds are excellent at minimizing these costs while others (the ones with the cappuccino machines in the office) are

Securities transaction fees-

A mutual fund pays expenses related to buying or selling the securities in its portfolio. These expenses may include brokerage commissions. Securities transaction fees increase the cost basis of investments purchased and reduce the proceeds from their sale. They do not flow through a fund's income statement and are not included in its expense ratio. The amount of securities transaction fees paid by a fund is normally positively correlated with its trading volume or "turnover".

Shareholding transaction fees

Shareholders may be required to pay fees for certain transactions. For example, a fund may charge a flat fee for maintaining an individual retirement account for an investor. Some funds charge redemption fees when an investor sells fund shares shortly after buying them (usually defined as within 30, 60 or 90 days of purchase); redemption fees are computed as a percentage of the sale amount. Shareholder transaction fees are not part of the expense ratio.

Mutual Funds: Picking A Mutual Fund

Buying

you can buy some mutual funds (no-load) by contacting fund companies directly. Other funds are sold through brokers, banks, financial planners, or insurance agents. If you buy through a third party, you may pay a sales charge (load).

That said, funds can be purchased through no-transaction fee programs that offer funds from many companies. Sometimes referred to as "fund supermarkets," these programs let you buy funds from many different companies. They also provide consolidated recording that includes all purchases made through the supermarket, even if they are from different fund families. Popular examples are Schwab's OneSource, Vanguard's

FundAccess, and Fidelity's FundsNetwork. Many large brokerages havesimilar offerings.

What to Know Before You Shop

(NAV) Net assents value, which is a fund's assets minus liabilities, is the value of a mutual fund.NAV per share is the value of one share in the mutual fund, and it is the number that is quoted in newspapers. You can basically just think of NAV per share as the price of a mutual fund. It fluctuates everyday as fund holdings and shares outstanding change.

When you buy shares, you pay the current NAV per share plus any sales front-end load. When you sell your shares, the fund will pay you NAV less any back-end load.

Finding Funds

Nearly every fund company in the country also has its own website. Simply type the name of the fund or Fund Company that you wish to learn more about into a search engine and hit "search." If you don't have a specific fund company already in mind, you can run a search for terms like "no-load small cap fund" or large-cap value fund."

For a more organized search, there are a variety of other resources available online. Two notable ones include:

The Mutual Fund Education Alliance is the not-for-profit trade association of the no-load mutual fund industry. They have a tool for searching for no-load funds.

Morningstar is an investment research firm that is particularly well known for its fund information.

Identifying Goals and Risk Tolerance

Before acquiring shares in any fund, you need to think about why you are investing. What is your goal? Are long-term desired capital gain, or is a current earning preferred? Will the money be used to pay for college expenses, or to supplement a retirement that is decades away? Identifying a goal is important because it will help you hone in on the right fund for the task. For really short-term goals, money market funds may be the right choice, for goals that are few years in the future, bond funds may be appropriate. For long-term goals, stocks funds may be the way to go. Of course, you must also consider the issue of risk tolerance. Can you afford and accept dramatic swings in portfolio value? If so, you may prefer stock funds over bond funds. Or is a more conservative investment warranted? In that case, bond funds may be the way to go.

For really short-term goals, money market funds may be the right choice, for goals that are few years in the future, bond funds may be appropriate. For long-term goals, stocks funds may be the way to go.

Of course, you must also consider the issue of risk tolerance. Can you afford and accept dramatic swings in portfolio value? If so, you may prefer stock funds over bond funds. Or is a more conservative investment warranted? In that case, bond funds may be the way to go.

The next question to consider include "are you more concerned about trying to outperform your fund's benchmark index or are you more concerned about the cost of your investments?" If the answer is "cost," index funds are likely the right choice for you.

Additional questions, to consider include how much money you have to invest, whether you should invest in a lump sum or a little bit over time and whether taxes are a concern for you. (Learn how to invest with a small amount of cash in Definitions of key terms.

Net asset value

A fund's net asset value (NAV) equals the current market value of a fund's holdings minus the fund's liabilities (sometimes referred to as "net assets"). It is usually expressed as a per-share amount, computed by dividing net assets by the number of fund shares outstanding. Funds must compute their net asset value according to the rules set forth in their prospectuses. Funds compute their NAV at the end of each day that the New York Stock Exchange is open, though some funds compute NAVs more than once daily.

Valuing the securities held in a fund's portfolio is often the most difficult part of calculating net asset value. The fund's board typically oversees security valuation.

Expense ratio

The expense ratio allows investors to compare expenses across funds. The expense ratio equals the 12b-1 fee plus the management fee plus the other divided by average daily net assets.

Average annual total return

The SEC requires that mutual funds report the average annual compounded rates of return for one-, five-and ten year-periods using the following formula:

P(1+T)n = ERV

Where:

P = a hypothetical initial payment of $1,000

T = average annual total return

n = number of years

ERV = ending redeemable value of a hypothetical $1,000 payment made at the beginning of the one-, five-, or ten-year periods at the end of the one-, five-, or ten-year periods (or fractional portion

Mutual Funds:Conclusion

Let's recap what we've learned in this tutorial:

A mutual fund brings together a group of people and invests their money in stocks, bonds, and other securities.

The advantages of mutual are professional management, diversification, economies, simplicity and liquidity.

The disadvantages of mutual are high costs, over-diversification, possible tax consequences, and the inability of management to guarantee a superior return.

There are many, many types of mutual funds. You can classify funds based on asset class, investing strategy, region, etc.

Mutual funds have lots of costs.

Costs can be broken down into ongoing fees (represented by the expense ratio) and transaction fees (loads).

The biggest problems with mutual funds are their costs and fees.

Mutual funds are easy to buy and sell. You can either buy them directly from the fund company or through a third party.

Mutual fund ads can be very deceiving.

Reference to website

1) www.nse.com

2) www.bse .com

3) www.rbi.com

4) www.moneycontrol .com

5) www.money.rediff.com

6) www.sebi.gov.in

7) www.mcxindia.com

8) www.icicidirect.com

Reference to Business news channel

1) CNBC TV 18

2) NDTV PROFIT

3) CNBC AWAAZ

4) ZEE BUSSINESS

5) BLOOMBERG TV

Reference to Business paper

1) Business line

2) Economic Times

3) Business Today

4) Financial express

5) The Hindu business line